NMLS SAFE MLO

Full-Length Practice Exam Phase 1 — Exam 5

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	**100%**	**120**

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 1 — Exam 5 — QUESTIONS (1–120)

■■ Federal Laws ■■

[Federal Laws — TRID]

1. A lender receives a complete mortgage application on Monday. Under TRID, by what day must the Loan Estimate be delivered to the borrower, and which days count as 'business days' for this rule?

A) By Thursday of the same week; all calendar days except Sundays and federal holidays count

B) By Wednesday; only days the lender is open for business count

C) By the following Monday; only weekdays excluding all holidays count

D) By Friday; Saturdays are excluded from the three-business-day count

[Federal Laws — TRID]

2. A borrower receives a Loan Estimate showing $800 in lender origination charges and $350 in transfer taxes. At closing, the lender charges $900 in origination fees and $380 in transfer taxes. Which of the following BEST describes the compliance issue?

A) The origination charge increase is within tolerance; the transfer tax increase is a violation

B) Both increases violate TRID because no changed circumstance was documented

C) Both increases violate TRID zero-tolerance rules, requiring a lender cure

D) Only the transfer tax increase violates TRID; origination charges have a 10% tolerance

[Federal Laws — TRID]

3. Which of the following events would qualify as a valid 'changed circumstance' allowing a lender to issue a revised Loan Estimate under TRID?

A) The lender discovers it quoted the wrong interest rate due to a pricing system error

B) An appraisal reveals the property value is $40,000 lower than the purchase price indicated on the application

C) Market interest rates rise 0.25% after the initial LE was issued

D) The lender underestimated title insurance costs by 12%

[Federal Laws — TRID]

4. A lender mails a Closing Disclosure to the borrower on Tuesday, October 1. Consummation is scheduled for Monday, October 7. Is this compliant under TRID?

A) Yes, because the CD was sent 6 calendar days before consummation

B) No, because the CD must be delivered in person at least 3 business days before consummation

C) Yes, because Saturday and Sunday both count as business days for the CD rule

D) No, because mailing adds 3 days, making constructive receipt Friday October 4, leaving only 2 business days before consummation

[Federal Laws — TRID]

5. Under TRID, which category of closing costs has NO tolerance limit, meaning charges can increase unlimited amounts from the Loan Estimate?

A) Prepaid interest, homeowner's insurance premiums, and services for which the borrower shops and selects a provider not on the lender's written list

B) Lender origination charges and transfer taxes

C) Third-party services selected from the lender's written provider list and recording fees

D) All closing costs are subject to at least a 10% tolerance limit

[Federal Laws — TRID]

6. A borrower's rate lock expires before closing and must be re-locked at a higher rate, increasing costs. The lender issues a revised Loan Estimate reflecting the new costs. Which statement is MOST accurate?

A) This is not a valid changed circumstance; the lender must absorb the rate lock cost increase

B) The lender may issue a revised LE only if the rate increase exceeds 1/8 percent

C) Rate lock expiration is a valid changed circumstance permitting a revised LE, but the revised LE must be issued within 3 business days of the lock expiration

D) The lender must issue a revised CD rather than a revised LE once a rate lock change occurs

[Federal Laws — TRID]

7. The 7-business-day waiting period between issuing the Loan Estimate and consummation may be waived under TRID in which situation?

A) When the borrower requests a closing date less than 7 days after receiving the LE

B) When the borrower has a bona fide personal financial emergency and provides a dated written signed waiver statement

C) When the lender and borrower both agree in writing to shorten the period

D) The 7-business-day waiting period can never be waived

[Federal Laws — TRID]

8. A borrower received a Loan Estimate showing $1,200 in recording fees. At closing, actual recording fees total $1,350. No changed circumstance was documented. Which statement is correct?

A) This is a zero-tolerance violation requiring a lender cure of $150

B) This is compliant because recording fees can never increase

C) The lender must issue a revised LE within 3 business days

D) The $150 increase must be tested against the 10% aggregate tolerance bucket, not evaluated in isolation

[Federal Laws — TRID]

9. Which of the following transactions is EXEMPT from TRID disclosure requirements?

A) A home equity line of credit (HELOC) secured by a first lien on the borrower's principal residence

B) A refinance of a primary residence with cash-out

C) A purchase loan for a condominium used as a primary residence

D) A construction-to-permanent loan where both phases are disclosed in a single set of disclosures

[Federal Laws — TRID]

10. Under TRID, which of the following CANNOT be collected from a borrower before they receive the Loan Estimate and indicate their intent to proceed?

A) A credit report fee

B) A bona fide and reasonable application fee

C) An appraisal fee

D) Either a credit report fee or an application fee, but not both

[Federal Laws — RESPA]

11. A mortgage company owns 25% of a title insurance company. The mortgage company refers all its borrowers to that title company and receives a quarterly distribution based on ownership profits. Under RESPA, which statement is MOST accurate?

A) This may be a permissible AfBA if proper disclosure is made, the consumer is free to choose another provider, and returns are based solely on ownership interest

B) This is a per se RESPA Section 8 violation because any financial benefit from a referral is prohibited

C) This is permissible without disclosure because the payment is a dividend, not a referral fee

D) This violates RESPA Section 9 because the seller is requiring a specific title company

[Federal Laws — RESPA]

12. Which of the following arrangements does NOT violate RESPA Section 8?

A) A lender paying a real estate agent $200 for each completed loan application the agent sends

B) A title company providing free marketing materials and desk space to a mortgage broker in exchange for referrals

C) A mortgage company paying a marketing company a flat monthly fee for genuine marketing services, regardless of loan volume

D) A builder requiring buyers to use an affiliated lender and providing a $2,000 closing cost credit only if they comply

[Federal Laws — RESPA]

13. A borrower submits a Qualified Written Request (QWR) to their loan servicer disputing an escrow shortage. Under RESPA, the servicer must:

A) Acknowledge within 10 business days and resolve within 60 business days

B) Acknowledge within 5 business days and resolve or explain within 30 business days

C) Acknowledge within 3 business days and resolve within 45 business days

D) Respond substantively within 10 business days with no separate acknowledgment required

[Federal Laws — RESPA]

14. Under RESPA's escrow account rules, what is the maximum cushion a servicer may maintain in a borrower's escrow account?

A) One month's projected escrow payments

B) Three months' projected escrow payments

C) Six weeks' projected escrow payments

D) Two months' projected escrow payments

[Federal Laws — RESPA]

15. A seller insists that the buyer use a specific title insurance company as a condition of the sale and threatens to cancel the purchase contract if the buyer uses another. Under RESPA, this:

A) Violates Section 9, which prohibits sellers from requiring buyers to purchase title insurance from a specific company

B) Is permissible because sellers may negotiate any terms in the purchase contract

C) Violates Section 8 as an illegal referral arrangement between the seller and title company

D) Is only a violation if the seller receives a financial benefit from the title company

[Federal Laws — RESPA]

16. A mortgage broker receives a 'yield spread premium' from a lender in 2009. Under RESPA and subsequent Dodd-Frank rules, which statement is MOST accurate?

A) Yield spread premiums were always legal and remain legal today

B) Yield spread premiums are illegal under RESPA Section 8 regardless of what services are provided

C) Yield spread premiums were permissible under pre-2010 RESPA if tied to bona fide services, but Dodd-Frank's compensation rules now govern lender-paid compensation

D) Yield spread premiums are only legal if disclosed on the Good Faith Estimate

[Federal Laws — RESPA]

17. Under RESPA, a 'settlement service' includes all of the following EXCEPT:

A) Title insurance

B) The purchase of hazard insurance chosen independently by the borrower with no lender involvement

C) Credit reporting

D) Loan origination

[Federal Laws — RESPA]

18. A lender provides a borrower with a written list of settlement service providers for title services. The borrower selects a provider NOT on the list. Under TRID tolerances, how are the title service charges treated?

A) Zero tolerance — any increase from LE is a violation
B) 10% aggregate tolerance applies
C) The lender may charge any amount because the borrower deviated from the list
D) No tolerance limit — charges can increase without limit because the borrower chose a provider not on the lender's list

[Federal Laws — TILA]

19. A borrower refinances their primary residence. The lender provides the required TILA rescission notices on Monday. Under TILA, when does the 3-day right of rescission expire?

A) Midnight Thursday, because the 3-business-day period counts Saturday but not Sunday or federal holidays
B) Midnight Wednesday, because only weekdays count
C) Midnight Friday, because all calendar days count
D) Midnight Sunday, because all 7 days of the week count for this rule

[Federal Laws — TILA]

20. A lender fails to provide the required TILA rescission notice to a borrower who refinances their primary residence. As a result, the right of rescission:

A) Expires after 30 days regardless of whether notice was provided
B) Expires at the normal 3-business-day period; failure to provide notice is a civil violation only
C) Extends to 3 years from consummation
D) Is waived automatically if the borrower makes 12 monthly payments

[Federal Laws — TILA]

21. Which of the following transactions does NOT trigger the TILA right of rescission?

A) A purchase-money mortgage on the borrower's new primary residence
B) A cash-out refinance of the borrower's current primary residence
C) A home equity loan secured by the borrower's primary residence
D) A rate-and-term refinance with a new lender on the borrower's primary residence

[Federal Laws — TILA]

22. A fixed-rate mortgage has an APR of 6.50% disclosed on the Loan Estimate. The accurate APR, computed correctly, is 6.62%. Under TILA, is there a tolerance violation?

A) Yes, because the disclosed APR is more than 1/8% below the accurate APR
B) No, because any APR within 1/4% is within tolerance for all loan types
C) No, because fixed-rate loans have a 1/8% tolerance and 6.62% - 6.50% = 0.12% which does not exceed 0.125%
D) Yes, because the disclosed APR understates the true APR by any amount, triggering mandatory re-disclosure

[Federal Laws — TILA]

23. Under TILA, which of the following is included in the Finance Charge?

A) Fees paid to third-party settlement agents for title closing services
B) Mortgage insurance premiums required by the lender as a condition of the loan
C) Hazard insurance premiums on a policy the borrower independently selects
D) Transfer taxes and recording fees

[Federal Laws — TILA]

24. A borrower exercising the right of rescission under TILA must notify the lender within 3 business days. Once proper notice is given, the lender must:

A) Release its security interest immediately upon receiving notice

B) File a court action to contest the rescission within 20 days

C) Return all money paid by the borrower within 10 business days of receiving notice

D) Return all money paid by the borrower within 20 calendar days of receiving notice, and only then must the borrower tender back any loan proceeds

[Federal Laws — ECOA]

25. A borrower applies for a mortgage but does not provide income documentation. The lender declines the application, citing incomplete information. Under ECOA, which statement is MOST accurate?

A) The lender must send an adverse action notice within 30 days of receiving the incomplete application OR notify the borrower of the incompleteness

B) No adverse action notice is required because an incomplete application is not a credit denial

C) The lender must provide an adverse action notice within 60 days of the incomplete application

D) Adverse action notices are only required when an application is denied based on a protected class characteristic

[Federal Laws — ECOA]

26. A 72-year-old borrower with excellent credit and income applies for a 30-year mortgage. The lender denies the loan solely because the borrower's age means the loan would not be fully repaid during the borrower's expected lifetime. Under ECOA:

A) This is permissible age-based underwriting using actuarial data

B) Age may be used as a factor only if the borrower is under 21

C) This violates ECOA because age cannot be used as the sole basis for denial, although age may be considered in a statistically sound credit scoring system

D) This is permissible because ECOA only prohibits discrimination against those under 40

[Federal Laws — ECOA]

27. A married couple applies jointly for a home purchase loan. Only one spouse has sufficient income and credit to qualify independently. The lender asks for the non-qualifying spouse to co-sign the promissory note. Under ECOA, this is:

A) Required whenever a married borrower applies for a joint marital property loan

B) A violation of ECOA if the qualifying spouse could qualify individually without the co-signature

C) Permissible as long as both spouses sign the security instrument (mortgage/deed of trust)

D) Required in community property states regardless of individual qualification

[Federal Laws — ECOA]

28. Under ECOA, a lender makes a counteroffer to a borrower at a higher interest rate than applied for. The borrower does not respond within 90 days. Which statement is correct?

A) The lender has no obligation to provide an adverse action notice because a counteroffer was made

B) The lender must provide an adverse action notice within 30 days of the counteroffer

C) The unanswered counteroffer automatically becomes an approved loan after 90 days

D) The counteroffer's expiration after 90 days without acceptance is treated as withdrawal of the application, and no adverse action notice is required

[Federal Laws — ECOA]

29. ECOA requires that adverse action notices include all of the following EXCEPT:

A) The specific credit score used in the decision and how scores generally affect creditworthiness

B) The specific reasons for adverse action, or disclosure that the applicant has the right to request such reasons

C) The name and address of the creditor taking the adverse action

D) A statement of ECOA rights informing the applicant they may not be discriminated against

[Federal Laws — ECOA]

30. Under ECOA, a lender must provide a copy of the appraisal or other written valuation to the borrower:

A) At least 5 business days before the loan closes, unless waived by the borrower

B) Only upon written request after the loan closes

C) Promptly upon completion, and no later than 3 business days before consummation, without charge

D) Within 10 business days of completion, for a fee not to exceed $25

[Federal Laws — Fair Housing]

31. A lender approves loans for White applicants with debt-to-income ratios up to 45% but limits Black applicants to 43% DTI without documented justification. No lender policy explicitly mentions race. This is BEST described as:

A) Disparate treatment, because similarly situated applicants of different races are being treated differently without legitimate business justification

B) Disparate impact, because the policy has a disproportionate effect on a protected class

C) Redlining, because the policy targets borrowers based on neighborhood demographics

D) Permissible underwriting discretion that does not violate the Fair Housing Act

[Federal Laws — Fair Housing]

32. Which of the following is NOT a protected class under the federal Fair Housing Act?

A) Familial status

B) National origin

C) Marital status

D) Handicap

[Federal Laws — Fair Housing]

33. A lender's policy requires a minimum loan amount of $150,000, effectively disqualifying applicants in lower-income neighborhoods that are predominantly minority. The lender has no discriminatory intent. Under fair lending law, this policy is:

A) Permissible because the lender demonstrates no discriminatory intent

B) Potentially illegal under disparate impact theory if the lender cannot demonstrate business necessity

C) Legal as long as the minimum loan amount is applied consistently to all applicants

D) Only reviewable under HMDA, not the Fair Housing Act

[Federal Laws — Fair Housing]

34. A landlord advertises 'ideal for young professionals' in a rental listing. Under the Fair Housing Act, this language is MOST likely:

A) Permissible as a marketing description targeting a lifestyle

B) Permissible because age is not a protected class under the FHA

C) A violation only if the landlord also denies families with children

D) Potentially illegal because 'young professionals' implies preference against families with children (familial status) and possibly age

[Federal Laws — Fair Housing]

35. A borrower with a physical disability requests that a lender allow her to submit her loan application in an accessible format. The lender refuses, saying standard forms are required. Under the Fair Housing Act, this is MOST likely:

A) A violation, because lenders must make reasonable accommodations for persons with disabilities

B) Permissible, because the FHA does not require lenders to modify their application processes

C) Permissible only if the same forms are required of all applicants

D) A violation only if the disability is the basis for denial, not the application process

[Federal Laws — Fair Housing]

36. A real estate agent steers Black homebuyers exclusively toward listings in predominantly Black neighborhoods, never showing them homes in integrated neighborhoods, even when those homes meet the buyers' stated criteria. This practice is called:

A) Blockbusting

B) Redlining

C) Steering

D) Reverse redlining

[Federal Laws — HOEPA]

37. A first-lien residential mortgage loan has an APR of 8.75% and the current Average Prime Offer Rate (APOR) for a comparable transaction is 3.00%. Is this a HOEPA high-cost loan based on the rate trigger?

A) No, because the APR must exceed APOR + 8.5% for first liens to be high-cost

B) Yes, because the APR exceeds APOR + 6.5% (3.00% + 6.50% = 9.50%... wait — 8.75% < 9.50%, so recalculate: 8.75 - 3.00 = 5.75%, which is less than 6.5%, so actually NO

C) Yes, because the APR exceeds the APOR by more than 5%

D) Yes, because any APR above 7% on a first lien triggers HOEPA

[Federal Laws — HOEPA]

38. A high-cost mortgage loan under HOEPA explicitly prohibits which of the following loan features?

A) An interest rate that adjusts annually after a 5-year fixed period

B) A loan term of 30 years

C) A requirement that the borrower establish an escrow account for taxes and insurance

D) A prepayment penalty of any amount or duration

[Federal Laws — HOEPA]

39. Under HOEPA, before a high-cost mortgage closes, the lender must:

A) Provide the borrower with a HOEPA disclosure at least 3 business days before consummation AND ensure the borrower receives homeownership counseling from a HUD-approved agency

B) Provide the borrower with a standard Loan Estimate only

C) Obtain the borrower's written waiver of all HOEPA protections

D) File a notice with the CFPB within 3 business days of closing

[Federal Laws — HOEPA]

40. A lender originates a $95,000 first-lien mortgage and charges $5,000 in points and fees. Is this loan high-cost under HOEPA's points-and-fees test?

A) No, because $5,000 is less than 5% of the $95,000 loan amount ($4,750), so the test is failed... wait: 5% x $95,000 = $4,750; $5,000 > $4,750, so yes

B) No, because the points-and-fees threshold for loans under $100,000 is 8%

C) Yes, because $5,000 exceeds 5% of $95,000 ($4,750), triggering the high-cost threshold

D) Yes, but only if the APR also exceeds the rate trigger

[Federal Laws — HOEPA]

41. HOEPA's 'loan flipping' prohibition prevents a lender from:

A) Refinancing a high-cost loan within a short period when the refinance does not provide a net tangible benefit to the borrower

B) Offering adjustable rate loans to borrowers who currently have fixed-rate loans

C) Charging any fees on a refinance of an existing high-cost loan

D) Refinancing any mortgage more than once in a 12-month period

[Federal Laws — HOEPA]

42. Which of the following is NOT a HOEPA-prohibited practice on high-cost mortgage loans?

A) Negative amortization

B) Mandatory arbitration clauses

C) A fixed interest rate that does not change over the loan term

D) Balloon payments on loans with terms of less than 5 years

[Federal Laws — HMDA]

43. Under HMDA, which of the following loans is reportable?

A) A 6-month bridge loan secured by a dwelling, used to purchase a new primary residence while the borrower's current home sells

B) A refinance of a multifamily property (5+ units) secured by the property

C) A business-purpose loan secured by commercial real estate with no dwelling component

D) An open-end line of credit secured by a vacation home for non-home-improvement purposes

[Federal Laws — HMDA]

44. A mortgage company makes a loan to a borrower who declines to state their race, ethnicity, or sex on the application. Under HMDA, the lender must:

A) Leave those fields blank on the LAR and document the borrower's refusal

B) Require the borrower to provide the information before proceeding

C) Estimate the information based on visual observation or surname

D) Record the fact that the borrower declined to provide the information, using the appropriate 'Information not provided' code, and for face-to-face applications must also note visual observation data separately

[Federal Laws — HMDA]

45. Which financial institution is generally required to report HMDA data?

A) A federally insured bank with assets above the annual threshold that originated at least 25 closed-end mortgage loans in each of the two preceding calendar years

B) Any bank or credit union regardless of asset size or loan volume

C) Only lenders that originate more than 500 mortgage loans per year

D) All mortgage companies with more than $10 million in annual mortgage revenue

[Federal Laws — HMDA]

46. A lender receives a complete application for a home purchase loan, orders the appraisal, but then the borrower withdraws the application before any credit decision is made. Under HMDA, this transaction is:

A) Not reportable because no loan was originated

B) Reportable as a denial

C) Reportable as an application withdrawn

D) Not reportable because HMDA only covers originated loans and approved-but-not-accepted applications

[Federal Laws — HMDA]

47. Under HMDA, lenders must report data on a Loan Application Register (LAR). The LAR must be submitted to the appropriate federal agency by:

A) January 1 of the year following the calendar year the data was collected

B) March 1 of the year following the calendar year the data was collected

C) June 30 of the year following the calendar year the data was collected

D) December 31 of the same calendar year the data was collected

[Federal Laws — HMDA]

48. A lender's HMDA data shows that it approves 80% of applications from White borrowers but only 55% of applications from similarly qualified Hispanic borrowers in the same geographic area. A federal regulator reviewing this data would MOST likely:

A) Take no action because HMDA data alone cannot prove discrimination

B) Immediately impose civil money penalties based on the disparity

C) Require the lender to approve all future Hispanic applications to correct the disparity

D) Use the disparity as a trigger for a fair lending examination to determine whether the difference is explained by legitimate, nondiscriminatory factors

[Federal Laws — Dodd-Frank]

49. Under Dodd-Frank's Ability-to-Repay (ATR) rule, a lender must consider and verify which of the following factors before originating a covered mortgage loan?

A) Current income or assets, current employment, credit history, monthly mortgage payment, simultaneous loan payments, other loan obligations, DTI ratio, and monthly residual income

B) Only the borrower's credit score and current employment status

C) Only the borrower's income and the proposed monthly payment

D) Income, credit score, and appraised value of the property

[Federal Laws — Dodd-Frank]

50. A Qualified Mortgage (QM) under Dodd-Frank provides the lender with a legal presumption. For a QM that is NOT a higher-priced covered transaction, the presumption is:

A) Rebuttable — the borrower can challenge the ATR determination in any foreclosure proceeding

B) No presumption — QM status has no legal protection in litigation

C) Conclusive (safe harbor) — the borrower cannot challenge the lender's ATR compliance

D) A presumption of fraud protection only, not ATR compliance

[Federal Laws — Dodd-Frank]

51. Under Dodd-Frank's LO Compensation Rule, a loan originator may NOT receive compensation based on:

A) The interest rate or APR of the loan originated

B) The total dollar amount of loans originated in a month

C) Whether the loan is a purchase or refinance

D) Whether the borrower is a first-time homebuyer

[Federal Laws — Dodd-Frank]

52. A Qualified Mortgage may NOT have which of the following features?

A) A 30-year amortization term

B) An adjustable interest rate with annual caps

C) Negative amortization

D) A debt-to-income ratio of exactly 43%

[Federal Laws — Dodd-Frank]

53. Under the Dodd-Frank Act, the Consumer Financial Protection Bureau (CFPB) has supervisory authority over which of the following entities?

A) Only federally chartered banks with assets over $10 billion

B) Banks and credit unions with over $10 billion in assets, AND non-bank mortgage companies of any size

C) All banks, credit unions, and insurance companies regardless of size

D) Only non-bank mortgage companies; bank supervision remains exclusively with prudential regulators

[Federal Laws — Dodd-Frank]

54. Under Dodd-Frank, a 'higher-priced mortgage loan' (HPML) for a first lien is defined as a loan with an APR exceeding the Average Prime Offer Rate (APOR) by:

A) 6.5 percentage points

B) 3.5 percentage points

C) 2.5 percentage points

D) 1.5 percentage points

[Federal Laws — TRID]

55. A borrower asks whether the lender's required title insurance is a 'settlement service' under RESPA and whether it appears on the Loan Estimate under TRID. Which answer is correct?

A) Yes to both — lender's title insurance is a settlement service under RESPA and must be disclosed in Section B or C of the Loan Estimate under TRID

B) It is a settlement service under RESPA but does not appear on the Loan Estimate

C) It appears on the Loan Estimate but is not a settlement service under RESPA

D) Neither — lender's title insurance is not a settlement service and is not disclosed on the LE

[Federal Laws — TILA]

56. A borrower's loan is denied after the appraisal comes in low. Under which regulation is the lender required to provide the borrower with a copy of the appraisal, and what is the timing requirement?

A) TILA; within 3 business days of loan consummation

B) RESPA; within 5 business days of receiving the appraisal

C) ECOA; promptly upon completion and no later than 3 business days before consummation (or when notice of denial is given if loan is denied)

D) TRID; in the Closing Disclosure at least 3 business days before closing

[Federal Laws — RESPA]

57. Which regulation governs the prohibition on requiring a borrower to use a specific settlement service provider, and which governs the prohibition on discriminating against a borrower in loan terms based on race?

A) TILA governs settlement service provider requirements; Fair Housing Act governs loan term discrimination

B) RESPA Section 9 governs settlement service provider restrictions; ECOA and the Fair Housing Act govern loan term discrimination based on race

C) RESPA Section 8 governs both restrictions

D) HMDA governs settlement service restrictions; ECOA governs discrimination in loan terms

[Federal Laws — TRID]

58. A borrower locks a rate on Day 1 and receives a Loan Estimate. On Day 15, the lock expires and is re-locked at a higher rate, causing a $400 increase in points. The lender issues a revised LE on Day 16. Which costs may be re-set using the revised LE?

A) Only the points directly caused by the rate re-lock

B) All costs on the LE may be re-set with any valid changed circumstance

C) Only zero-tolerance items may be re-set; 10% bucket items are unaffected

D) Only costs that are actually affected by the changed circumstance (the rate lock change) may be re-set — the lender cannot use this opportunity to re-set unrelated fees

[Federal Laws — HOEPA]

59. Which of the following loans is EXEMPT from HOEPA coverage even if it meets the high-cost thresholds?

A) A reverse mortgage originated under the Home Equity Conversion Mortgage (HECM) program

B) A cash-out refinance on the borrower's primary residence

C) A home equity loan on a primary residence with an APR well above APOR + 6.5%

D) A first-lien purchase loan with points and fees exceeding 5% of the loan amount

[Federal Laws — HMDA]

60. A lender receives an application for a home equity line of credit (HELOC) secured by the applicant's primary residence. The HELOC would be used for debt consolidation, not home improvement. Under HMDA, is this application reportable?

A) No, because HELOCs are never reportable under HMDA

B) Yes, because any loan secured by a dwelling is reportable under HMDA

C) It depends on the lender's HELOC volume — institutions meeting the open-end loan volume threshold (100 open-end originations in each of the prior 2 years) must report HELOCs; those below the threshold are exempt

D) Yes, but only if the HELOC is for home improvement purposes

■■ General Mortgage Knowledge ■■

[General Mortgage Knowledge]

61. A borrower has a gross monthly income of $7,500. Their proposed PITI (principal, interest, taxes, insurance) payment is $1,800 and total monthly debt obligations are $2,700. What are the front-end and back-end DTI ratios?

A) Front-end 24%; back-end 36%

B) Front-end 36%; back-end 24%

C) Front-end 24%; back-end 24%

D) Front-end 36%; back-end 48%

[General Mortgage Knowledge]

62. On a conventional loan, a borrower who puts less than 20% down is typically required to pay Private Mortgage Insurance (PMI). Under the Homeowners Protection Act, PMI must automatically terminate when:

A) The loan-to-value ratio reaches 80% based on original value

B) The borrower makes 120 consecutive on-time payments

C) The loan balance reaches 78% of the original purchase price or appraised value (whichever was lower at origination), based on the scheduled amortization

D) The borrower refinances into a new loan

[General Mortgage Knowledge]

63. Which of the following loan types uses a tiered interest rate structure where the rate is fixed for an initial period and then adjusts periodically, with caps limiting how much the rate can change each period and over the life of the loan?

A) Fixed-rate mortgage (FRM)

B) Adjustable-rate mortgage (ARM)

C) Balloon mortgage

D) Graduated payment mortgage (GPM)

[General Mortgage Knowledge]

64. A borrower's credit report shows a collection account for $850 that has been paid. The account is 3 years old. Under standard conventional underwriting, which statement is MOST accurate?

A) The paid collection must be paid off and the proceeds verified before closing

B) The collection automatically disqualifies the borrower from any conventional loan

C) The collection must be included as a monthly debt obligation in the DTI calculation

D) A paid collection may be disregarded in some conventional underwriting scenarios depending on the age, amount, and whether it is medical; guidelines vary by loan program and investor

[General Mortgage Knowledge]

65. A property appraises for $380,000. The purchase price is $400,000. The borrower is making a 5% down payment calculated on the purchase price. What is the maximum loan amount the lender will approve, and what is the LTV?

A) Loan amount $361,000; LTV 95% based on the LESSER of appraised value or purchase price

B) Loan amount $380,000; LTV 100% based on appraised value

C) Loan amount $361,000; LTV 95% based on the purchase price only

D) Loan amount $380,000; LTV 95% based on appraised value

[General Mortgage Knowledge]

66. Which of the following is a characteristic of an FHA-insured mortgage that distinguishes it from a conventional loan?

A) FHA loans have no mortgage insurance requirement

B) FHA loans require a minimum 10% down payment for all borrowers

C) FHA loans require both an upfront mortgage insurance premium (UFMIP) and an annual mortgage insurance premium (MIP) regardless of LTV

D) FHA loans are only available for first-time homebuyers

[General Mortgage Knowledge]

67. A VA loan is being originated for an eligible veteran. The veteran has used their VA entitlement before and has $36,000 of basic entitlement remaining. Which statement about VA funding fees is correct?

A) VA loans never require a funding fee for veterans with any disability rating

B) Veterans with a service-connected disability rating are exempt from the VA funding fee

C) The VA funding fee is 2.15% of the loan amount for all subsequent use VA loans

D) VA funding fees must be paid in cash at closing and cannot be financed

[General Mortgage Knowledge]

68. A USDA Rural Development Guaranteed Loan has which of the following characteristics that make it unique among government-backed mortgage programs?

A) It requires a minimum 5% down payment

B) It is only available for agricultural property purchases

C) It is guaranteed by the Department of Veterans Affairs

D) It allows 100% financing (zero down payment) for eligible rural and some suburban properties within USDA-defined geographic boundaries

[General Mortgage Knowledge]

69. A borrower receives a lender credit of $2,000 in exchange for accepting a higher interest rate. Under TRID, how is this credit disclosed on the Loan Estimate?

A) As a negative number in the origination charges section (reducing the amount the borrower pays), with the interest rate reflected in the rate field

B) As income to the borrower, disclosed separately from loan costs

C) As a seller concession on the LE

D) Lender credits are not permitted to be disclosed on the Loan Estimate

[General Mortgage Knowledge]

70. A second lien home equity loan has a combined loan-to-value (CLTV) ratio of 90%. The first mortgage balance is $200,000, the proposed second mortgage is $25,000, and the appraised value is $250,000. What is the CLTV?

A) 80%

B) 88%

C) 90%

D) 92%

[General Mortgage Knowledge]

71. Which of the following best describes 'seasoning' as used in mortgage underwriting?

A) A requirement that a borrower's funds for down payment and closing costs have been in a verified account for a minimum period (often 60 days) before closing

B) A requirement that the subject property has been owner-occupied for at least 12 months

C) A requirement that the borrower has maintained current employment for at least 2 years

D) A requirement that the borrower's credit score has been above 680 for at least 24 months

[General Mortgage Knowledge]

72. A non-arms-length transaction is one where the buyer and seller have a prior relationship (e.g., family members). Which statement about non-arms-length purchase transactions is MOST accurate?

A) They are prohibited under all conventional and government loan programs

B) LTV limits are always higher for non-arms-length transactions

C) Government loan programs (FHA, VA, USDA) may have additional restrictions and lenders often apply stricter LTV limits for non-arms-length transactions

D) Non-arms-length transactions require only an additional appraisal; no other restrictions apply

[General Mortgage Knowledge]

73. A borrower is purchasing a home with seller-paid closing cost concessions of $8,000. The purchase price is $300,000, and the loan is a conventional conforming loan with 10% down (LTV = 90%). What is the maximum seller concession permitted?

A) 6% of the purchase price ($18,000)

B) 3% of the purchase price ($9,000), as conventional loans with 90% LTV cap seller concessions at 3%

C) The $8,000 concession is below the cap, so no analysis is needed

D) Seller concessions are unlimited on conventional loans

[General Mortgage Knowledge]

74. A Fannie Mae conforming loan limit for a single-unit property in a standard-cost area (as of recent guidelines) is approximately $726,200. A borrower needs a $750,000 loan. Which loan type is MOST appropriate?

A) FHA loan, which has no loan limits

B) USDA loan, which can exceed conforming limits in rural areas

C) VA loan, which is not subject to conforming loan limits

D) Jumbo (non-conforming) conventional loan that exceeds the conforming limit

[General Mortgage Knowledge]

75. An interest-only loan allows the borrower to pay only interest for an initial period. Which statement MOST accurately describes the risk of an interest-only period?

A) The loan balance does not decrease during the interest-only period, leaving the borrower with the original principal balance when principal payments begin, potentially causing payment shock

B) Interest-only loans always have a lower APR than fully amortizing loans

C) Interest-only loans build equity faster than traditional amortizing loans

D) Interest-only periods are prohibited on all QM loans under Dodd-Frank

[General Mortgage Knowledge]

76. A 5/1 ARM has a start rate of 4%, a margin of 2.5%, an index currently at 2.0%, and caps of 2/2/5. After the first adjustment, what is the MAXIMUM new interest rate?

A) 4.5%

B) 5.5%

C) 6%

D) 9%

[General Mortgage Knowledge]

77. A borrower is self-employed and has filed the following tax returns: Year 1 net income $85,000; Year 2 net income $110,000. Standard lender practice for computing qualifying income from self-employment using tax returns is:

A) Use Year 2 income of $110,000 divided by 12

B) Average the two years: ($85,000 + $110,000) / 2 = $97,500, then divide by 12 = $8,125/month

C) Use the lower of the two years ($85,000 / 12) to be conservative

D) Use Year 2 only if income is declining; use the average only if income is stable or increasing

[General Mortgage Knowledge]

78. Under Fannie Mae's guidelines, overtime and bonus income may be used to qualify if:

A) The borrower has received it for at least 6 months and it is likely to continue

B) It is documented for the current year only, regardless of history

C) It must be guaranteed in writing by the employer

D) It has been received for at least 2 years and there is a reasonable expectation of continuance

[General Mortgage Knowledge]

79. A borrower is converting their primary residence to a rental property and purchasing a new primary residence. The rental income from the converted property may be used to qualify for the new purchase loan if:

A) The borrower has at least 25-30% equity in the converted property, AND shows a signed lease or rental income history, per specific agency guidelines

B) The borrower has any amount of equity and provides a verbal commitment from the tenant

C) The borrower has lived in the property for at least 5 years prior to conversion

D) Rental income from a conversion is never counted for qualifying purposes

[General Mortgage Knowledge]

80. Which of the following BEST describes 'recourse' vs. 'non-recourse' in mortgage lending?

A) Recourse loans are insured by the government; non-recourse loans are conventional

B) Non-recourse loans are adjustable rate; recourse loans are fixed rate

C) With a recourse loan, the lender may pursue the borrower personally for any deficiency after foreclosure; with non-recourse, the lender's recovery is limited to the collateral

D) Non-recourse loans are prohibited for residential mortgages in all states

■■ Loan Origination Activities ■■

[Loan Origination Activities]

81. A borrower submits an application that includes the 6 RESPA/TRID elements that constitute a 'complete application.' Which combination of information, when ALL six are provided, triggers the 3-business-day Loan Estimate clock?

A) Name, income, Social Security number, property address, estimated property value, and mortgage loan amount sought

B) Name, income, credit score, employment history, property address, and loan amount

C) Name, SSN, income, assets, property address, and loan purpose

D) Credit score, income, SSN, property address, loan amount, and requested loan term

[Loan Origination Activities]

82. During an initial consultation, a borrower mentions they are going through a divorce and asks the loan officer if that will affect the loan. The loan officer should:

A) Tell the borrower that marital status is irrelevant and proceed without noting it

B) Advise the borrower to wait until the divorce is final before applying

C) Explain that marital status is a protected class under ECOA, gather facts relevant to creditworthiness (income, assets, liabilities from the divorce), and proceed with the application

D) Require documentation of the divorce decree before accepting the application

[Loan Origination Activities]

83. A loan officer discovers after submitting a loan file to underwriting that the income documented on the application is higher than what the borrower actually earns. The borrower says, 'Just leave it — the underwriter won't know.' The loan officer should:

A) Leave the income as stated, since the borrower is the one responsible for the accuracy of the application

B) Correct the application immediately, notify the appropriate parties per company policy, and if necessary decline to proceed with the loan

C) Contact the underwriter to see if the income difference is material before deciding

D) Re-verify the income and submit new documents without disclosing the discrepancy to compliance

[Loan Origination Activities]

84. Under TRID, which of the following items triggers a 'revised Loan Estimate' rather than corrected information on the Closing Disclosure?

A) A change in the loan amount discovered 2 days before closing

B) A correction to a borrower's name that was misspelled on the initial LE

C) An increase in the seller's concession that changes the CD figures

D) A changed circumstance that increases third-party closing costs within 3 business days of receiving the change

[Loan Origination Activities]

85. An MLO is discussing loan products with a prospective borrower. The borrower qualifies for a prime 30-year fixed mortgage at 6.5% APR but the MLO steers the borrower toward a higher-cost subprime loan at 9.5% APR that pays the MLO a larger commission. This conduct:

A) Violates Dodd-Frank's anti-steering rules and could also violate UDAAP and state consumer protection laws

B) Is permissible because the borrower ultimately decides which loan to accept

C) Is permissible because commission-based compensation is legal

D) Violates only the SAFE Act's licensing requirements

[Loan Origination Activities]

86. A borrower asks the MLO to 'shop' their application to several lenders to find the best rate. Under FCRA, multiple credit inquiries for a mortgage loan within a short window are typically treated as:

A) Each inquiry counts separately and damages the credit score proportionally

B) No more than one inquiry per lender per month is permitted

C) A single inquiry for scoring purposes if they occur within a specific rate-shopping window (14-45 days depending on the scoring model)

D) Not permitted — the MLO must choose one lender before pulling credit

[Loan Origination Activities]

87. When a borrower asks an MLO to explain the difference between the interest rate and the APR, the MLO should explain that the APR is higher than the rate because:

A) The APR includes the principal balance in its calculation

B) The APR reflects the true cost of borrowing by incorporating the interest rate plus certain fees and costs spread over the loan term, expressed as an annual rate

C) The APR is calculated on a daily basis while the interest rate is monthly

D) The APR equals the interest rate plus the servicer's margin

[Loan Origination Activities]

88. Under the SAFE Act, an individual who ONLY takes loan applications but does not negotiate terms, does not offer or accept applications, and simply passes paperwork between borrowers and lenders, is:

A) Always required to be licensed as an MLO

B) Exempt from licensing as a 'clerical or support staff' employee of a licensed entity

C) Required to register as an MLO but not required to be licensed

D) Subject to licensing requirements if their activities constitute loan origination activity as defined by the SAFE Act, which includes taking applications and negotiating terms

[Loan Origination Activities]

89. A borrower's loan file contains a verbal verification of employment (VVOE) completed 10 business days before closing. Standard agency guidelines typically require a VVOE within how many business days of consummation?

A) 10 business days

B) 30 calendar days

C) 5 business days

D) The day of closing

[Loan Origination Activities]

90. A borrower is purchasing a home with gift funds for the entire down payment. The gift donor is the borrower's parent. Under FHA guidelines, which documentation is required?

A) A gift letter from the donor and evidence the gift came from a legitimate source, but no transfer verification is required

B) Only a signed gift letter from the donor stating the funds are not a loan

C) A signed gift letter from the donor, evidence the donor has the ability to give the gift, and documentation of the transfer of funds (bank statements or wire confirmation)

D) Gift funds are not permitted on FHA loans

[Loan Origination Activities]

91. During the loan origination process, the MLO collects a property appraisal showing the home is in a FEMA-designated Special Flood Hazard Area (SFHA). The lender is required to:

A) Require flood insurance as a condition of the loan and notify the borrower in writing at least 10 business days before closing

B) Recommend flood insurance but cannot require it as a loan condition

C) Only require flood insurance if the property is in a V-zone (coastal high hazard area)

D) Report the flood zone status to HUD within 30 days of discovery

[Loan Origination Activities]

92. A borrower's loan is approved with a condition that requires a satisfactory title search. The title search reveals an outstanding mechanic's lien from a contractor who worked on the property 18 months ago. How should the MLO handle this?

A) Ignore the lien if it is under $5,000 — it will not affect the title

B) Proceed with closing and disclose the lien to the buyer at closing

C) Advise the borrower and seller that the lien must be resolved (paid, released, or bonded over) before or at closing, as it constitutes a cloud on title

D) Order a second appraisal to determine if the lien affects property value

[Loan Origination Activities]

93. A rate lock commitment is issued to a borrower for 30 days. The loan does not close within 30 days due to a delay in the borrower returning required documents. Which statement MOST accurately describes the MLO's obligation?

A) The lender must honor the original rate because the delay was not caused by the lender

B) The borrower may need to pay a rate lock extension fee or accept the current market rate, depending on lender policy; the original lock expired

C) The lender must extend the lock for free because federal regulations prohibit expiration fees

D) The rate lock automatically renews for another 30 days at no cost

[Loan Origination Activities]

94. An MLO submits a loan application on behalf of a borrower. After submission, the MLO learns the borrower intends to rent the property rather than owner-occupy it as stated on the application. The MLO should:

A) Do nothing — the borrower's intent may change before closing

B) Advise the borrower to add the rental income to the application to strengthen it

C) Withdraw the application and allow the borrower to reapply with accurate information

D) Correct the occupancy designation on the application immediately, notify the lender and compliance team, and proceed with an updated file reflecting the accurate occupancy

[Loan Origination Activities]

95. When a borrower pays 'discount points' at closing, what is the primary purpose of those points?

A) To buy down (reduce) the interest rate on the loan, with each point equaling 1% of the loan amount

B) To pay for third-party settlement services such as title insurance

C) To prepay the first two months of principal payments

D) To cover the lender's origination fee on a no-cost loan

[Loan Origination Activities]

96. Under TRID, the Loan Estimate must be provided in good faith, meaning estimated charges must be within applicable tolerances at closing. If a lender discovers at closing that a zero-tolerance fee has increased, the lender MUST:

A) Deny the loan to avoid the tolerance violation

B) Issue a revised CD and require the borrower to sign a waiver

C) Provide a cured credit to the borrower within 60 calendar days of closing and retain cure documentation

D) Notify the CFPB within 30 days of discovery

[Loan Origination Activities]

97. A borrower is purchasing a home and requests the loan officer recommend a homeowner's insurance company. Under RESPA, the loan officer should:

A) Only recommend companies that have a business relationship with the lender

B) Provide general guidance about the type of coverage required but avoid steering the borrower to a specific insurer in exchange for any thing of value

C) Not discuss insurance at all — it is outside the MLO's scope

D) Require the borrower to use the lender's preferred insurance partner

[Loan Origination Activities]

98. A borrower is closing on a loan. The HUD-1 (for RESPA-covered transactions pre-TRID) or the Closing Disclosure showed $3,200 in estimated cash to close. At the table, the borrower is presented with a final figure of $3,750. Which regulatory concern does this raise?

A) No concern — final figures always differ from estimates

B) ECOA concern — the increased cost may be discriminatory

C) SAFE Act concern — the MLO must be licensed to approve cost changes

D) TRID tolerance concern — unexplained cost increases at closing may indicate zero-tolerance or 10% bucket violations requiring lender cure

[Loan Origination Activities]

99. Under the Equal Credit Opportunity Act, a creditor may NOT request which of the following on a loan application?

A) The applicant's race, color, or national origin (when not required for government monitoring)

B) The applicant's marital status on a secured loan

C) The applicant's age when using an empirically derived credit scoring system

D) The applicant's current income from all sources

[Loan Origination Activities]

100. A mortgage loan officer working for a federally insured depository institution (bank) is required to register under the SAFE Act using the NMLS. Which statement BEST distinguishes the registration requirement from the licensing requirement?

A) Registered MLOs must pass the NMLS written test; licensed MLOs do not

B) There is no distinction — all MLOs must meet identical requirements

C) Licensed MLOs (non-bank) must pass the SAFE test, complete pre-license education, meet character requirements, and maintain a surety bond; registered MLOs (bank employees) must register in NMLS but are NOT required to pass the SAFE test or complete pre-license education

D) Registered MLOs are exempt from all background check requirements

■■ Ethics ■■

[Ethics]

101. A real estate agent offers to send an MLO 10 referrals per month if the MLO agrees to give the agent 'a cut' of the origination fee on each closed loan. The MLO should:

A) Decline the arrangement because it constitutes an illegal kickback under RESPA Section 8, regardless of how it is characterized

B) Accept if the amount is under $100 per referral, as RESPA has a de minimis exception

C) Accept, disclosing the arrangement to borrowers on the Loan Estimate

D) Accept if the agent is also a licensed mortgage professional

[Ethics]

102. An MLO learns that a competitor is offering a loan product with terms that appear to violate federal consumer protection laws. The MLO's BEST ethical course of action is:

A) Match the competitor's offer to remain competitive

B) Report the competitor anonymously to the borrower

C) Report the potentially illegal practices to the appropriate regulatory agency (CFPB, state regulator, or NMLS) and continue operating within legal boundaries

D) Advise borrowers to use the competitor's product since it has better terms

[Ethics]

103. An MLO has a personal financial interest in a title company that is not disclosed to borrowers. The MLO routinely refers borrowers to that title company. This situation:

A) Is permissible because the MLO's personal investments are private

B) Violates RESPA's AfBA disclosure requirements and may constitute an undisclosed conflict of interest

C) Is permissible if the title company provides competitive pricing

D) Violates only state law, not federal law

[Ethics]

104. A borrower tells the MLO in confidence that they plan to take out a personal loan for the down payment funds but wants the MLO to list the funds as 'savings.' The MLO should:

A) Document the funds as savings since the borrower asked and the loan will likely still be approved

B) Advise the borrower this is acceptable if the personal loan closes more than 60 days before the mortgage

C) Suggest the borrower use gift funds instead to avoid the issue

D) Explain that undisclosed borrowed funds used for a down payment constitutes mortgage fraud, decline to proceed as instructed, and advise the borrower that the personal loan must be disclosed and its payment included in the DTI

[Ethics]

105. Which of the following BEST describes a predatory lending practice?

A) A lender repeatedly refinancing an elderly borrower's mortgage with minimal benefit, each time charging new closing costs and reducing the borrower's equity

B) A lender offering below-market rates as a promotional product

C) A lender requiring mortgage insurance on a loan with less than 20% down

D) A lender offering both fixed and adjustable rate options to the same borrower

[Ethics]

106. A borrower who is 70 years old and has significant home equity asks an MLO about options to access that equity. The MLO is not familiar with reverse mortgages. The MOST ethical action is:

A) Recommend a cash-out refinance as the only viable option and avoid mentioning reverse mortgages

B) Tell the borrower reverse mortgages are too risky without further explanation

C) Explain that a reverse mortgage may be an option the borrower should explore with a HUD-approved counselor, acknowledge the MLO's limited expertise, and refer the borrower to a specialist if needed

D) Originate a reverse mortgage anyway, relying on general mortgage knowledge

[Ethics]

107. An MLO receives a gift basket worth $150 from a title company that the MLO frequently refers clients to. Under RESPA and ethical guidelines, the MLO should:

A) Accept the gift as it is a courtesy and has nothing to do with referrals

B) Return or decline the gift because accepting it creates a RESPA-prohibited thing-of-value relationship tied to referrals

C) Accept the gift but disclose it to the next borrower referred to that title company

D) Accept the gift as long as the value is under $200

[Ethics]

108. A loan officer discovers that their manager instructed an underwriter to overlook a borrower's falsified income documents to meet a monthly production quota. The loan officer should FIRST:

A) Ignore the situation — the manager is responsible, not the loan officer

B) Approve the next loan in the pipeline to maintain the business relationship

C) Confront the borrower about the falsified documents

D) Document the situation and report it through the company's internal compliance/ethics channel, and if ignored, to external regulators

[Ethics]

109. An MLO is working with an elderly borrower who seems confused about the loan terms. The borrower's adult child, who is not on the loan, pressures the MLO to quickly close the loan. The MLO should:

A) Ensure the borrower independently understands and consents to all loan terms before proceeding, even if it delays closing

B) Defer to the adult child's urgency and close the loan as quickly as possible

C) Have the adult child sign a power of attorney and proceed

D) Report the situation to the lender only after closing

[Ethics]

110. An MLO's license expires and is not renewed, but the MLO continues to take loan applications for 30 days while waiting for renewal approval. This conduct:

A) Is permissible if the MLO discloses the expired license to borrowers

B) Is permissible if the volume is under 5 loans during the lapse

C) Constitutes unlicensed mortgage loan origination activity, which is illegal and may result in criminal penalties, loss of licensure, and civil liability

D) Is permissible as long as the loans close under a licensed colleague's NMLS number

[Ethics]

111. A borrower asks the MLO to recommend the 'best' loan product for their situation. The MLO should base the recommendation on:

A) The borrower's specific financial situation, goals, risk tolerance, and loan qualification, presenting options that genuinely serve the borrower's best interest

B) The loan product that pays the highest commission to the MLO

C) The product that is easiest to process and close quickly

D) The product with the lowest interest rate, regardless of other loan costs

[Ethics]

112. An MLO is aware that a real estate investor client has submitted multiple applications simultaneously to different lenders for the same property, in violation of each lender's single-application representation. The MLO should:

A) Advise the client this is acceptable since investors often explore multiple options

B) Process the loan without mentioning it, since the other lenders are not the MLO's concern

C) Advise the client that submitting materially misleading simultaneous applications to multiple lenders may constitute loan application fraud, and take appropriate action per the MLO's duty of care and company policy

D) Report the client to law enforcement immediately without further inquiry

■■ SAFE Act / NMLS ■■

[SAFE Act / NMLS]

113. Under the federal SAFE Act, which of the following individuals is required to obtain a state mortgage loan originator license?

A) An employee of a mortgage company (non-bank) who takes residential mortgage loan applications and negotiates loan terms

B) An employee of a federally chartered bank who processes loan applications but never negotiates terms or counsels borrowers

C) An attorney who provides legal advice about mortgage documents but does not originate loans

D) A real estate appraiser who provides property valuations used in the mortgage process

[SAFE Act / NMLS]

114. The SAFE Act requires state-licensed MLO candidates to complete how many hours of NMLS-approved pre-licensing education before taking the SAFE MLO test?

A) 8 hours

B) 12 hours

C) 20 hours

D) 24 hours

[SAFE Act / NMLS]

115. An MLO applying for a state license has a felony conviction for financial fraud from 8 years ago. Under the SAFE Act, which statement is MOST accurate?

A) The conviction automatically disqualifies the applicant for 10 years from the conviction date

B) A felony involving financial fraud, dishonesty, breach of trust, or money laundering results in a permanent bar from state licensure under the SAFE Act

C) The conviction is disqualifying only if it occurred within the past 5 years

D) The state regulator has no discretion — all felonies result in automatic denial

[SAFE Act / NMLS]

116. What is the minimum passing score on the SAFE MLO National Test?

A) 80%

B) 70%

C) 65%

D) 75%

[SAFE Act / NMLS]

117. An MLO who fails the SAFE MLO National Test may retake it subject to which waiting period rule?

A) 30-day waiting period after each of the first three failures; 6-month waiting period after the third failure and each subsequent failure

B) 7-day waiting period after each failure, regardless of how many times failed

C) 60-day waiting period after each failure

D) No waiting period — candidates may retake immediately

[SAFE Act / NMLS]

118. The Nationwide Multistate Licensing System (NMLS) Unique Identifier assigned to each MLO must be:

A) Kept confidential and shared only with state regulators upon request

B) Displayed only on the NMLS consumer access website

C) Disclosed on all loan applications, solicitations, and advertisements associated with the MLO's mortgage loan origination activities

D) Used only for internal tracking and not disclosed to borrowers

[SAFE Act / NMLS]

119. Under the SAFE Act, an MLO licensed in State A who wants to temporarily conduct mortgage loan origination activities in State B (where the MLO is not licensed) may do so under which provision?

A) The temporary authority to operate provision, which allows MLOs with an active license to conduct origination activities in a new state for up to 120 days while a license application is pending

B) There is no provision — the MLO must obtain State B's license before any contact with State B borrowers

C) The reciprocity provision, which allows all SAFE Act states to automatically accept another state's license

D) The de minimis exception, which allows origination of up to 5 loans per year in any unlicensed state

[SAFE Act / NMLS]

120. An MLO is required to complete continuing education annually to maintain their state license. The minimum annual CE requirement under the SAFE Act is:

A) 8 hours, including 2 hours of federal law and 2 hours of ethics

B) 12 hours, including 4 hours of federal law

C) 8 hours, including 3 hours of federal law and regulations, 2 hours of ethics including fraud and consumer protection, 2 hours of non-traditional mortgage products, and 1 hour of elective content

D) 16 hours, including 4 hours of ethics

EXAM Phase 1 — Exam 5 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	A	2	C	3	B	4	D	5	A
6	C	7	B	8	D	9	A	10	C
11	A	12	C	13	B	14	D	15	A
16	C	17	B	18	D	19	A	20	C
21	A	22	C	23	B	24	D	25	A
26	C	27	B	28	D	29	A	30	C
31	A	32	C	33	B	34	D	35	A
36	C	37	B	38	D	39	A	40	C
41	A	42	C	43	B	44	D	45	A
46	C	47	B	48	D	49	A	50	C
51	A	52	C	53	B	54	D	55	A
56	C	57	B	58	D	59	A	60	C
61	A	62	C	63	B	64	D	65	A
66	C	67	B	68	D	69	A	70	C
71	A	72	C	73	B	74	D	75	A
76	C	77	B	78	D	79	A	80	C
81	A	82	C	83	B	84	D	85	A
86	C	87	B	88	D	89	A	90	C
91	A	92	C	93	B	94	D	95	A
96	C	97	B	98	D	99	A	100	C
101	A	102	C	103	B	104	D	105	A
106	C	107	B	108	D	109	A	110	C
111	A	112	C	113	A	114	C	115	B
116	D	117	A	118	C	119	A	120	C

1. A lender receives a complete mortgage application on Monday. Under TRID, by what day must the Loan Estimate be delivered to the borrower, and which days count as 'business days' for this rule?

✓ A) By Thursday of the same week; all calendar days except Sundays and federal holidays count

TRID requires the LE be delivered within 3 business days of receiving a complete application. For the LE delivery rule, 'business day' means all calendar days except Sundays and federal public holidays — so Monday+3 = Thursday. Option B incorrectly uses the lender-open definition, which applies only to the waiting period between LE and consummation.

2. A borrower receives a Loan Estimate showing $800 in lender origination charges and $350 in transfer taxes. At closing, the lender charges $900 in origination fees and $380 in transfer taxes. Which of the following BEST describes the compliance issue?

✓ C) Both increases violate TRID zero-tolerance rules, requiring a lender cure

Both lender origination charges AND transfer taxes fall under TRID's zero-tolerance category — they cannot increase at all absent a valid changed circumstance and revised LE. Here neither increased within tolerance, so both require a cure (lender pays the excess). Option A and D incorrectly assign a 10% bucket to transfer taxes or origination charges.

3. Which of the following events would qualify as a valid 'changed circumstance' allowing a lender to issue a revised Loan Estimate under TRID?

✓ B) An appraisal reveals the property value is $40,000 lower than the purchase price indicated on the application

A significant change in property value discovered through appraisal is a valid changed circumstance — it constitutes new information about the property that was not known at application. Lender errors (pricing mistake, underestimation) are explicitly NOT changed circumstances and cannot be used to justify increases. Market rate changes alone are also not a valid changed circumstance under TRID.

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4. A lender mails a Closing Disclosure to the borrower on Tuesday, October 1. Consummation is scheduled for Monday, October 7. Is this compliant under TRID?

✓ D) No, because mailing adds 3 days, making constructive receipt Friday October 4, leaving only 2 business days before consummation

For the CD waiting period, 'received' means actual receipt or constructive receipt (mailing = +3 days). Mailed Oct 1 means constructive receipt Oct 4 (Friday). The borrower must RECEIVE the CD at least 3 business days before consummation. Saturday counts as a business day for this rule, so Oct 4 (Fri) + 3 = Oct 7 (Mon) — consummation cannot occur until Oct 7 at the earliest, but only if the CD is received on Oct 4. This is borderline; if consummation is also Oct 7, the CD must have been received no later than Oct 3 (Thurs). The mailed CD arriving Oct 4 means only 2 intervening business days (Sat Oct 5 counts, Sun does not, Mon is closing) — not compliant.

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5. Under TRID, which category of closing costs has NO tolerance limit, meaning charges can increase unlimited amounts from the Loan Estimate?

✓ A) Prepaid interest, homeowner's insurance premiums, and services for which the borrower shops and selects a provider not on the lender's written list

The 'no limit' / unlimited tolerance bucket includes prepaid items (interest, insurance premiums) and third-party services for which the borrower shopped and chose a provider NOT on the lender's list. Zero tolerance applies to origination charges and transfer taxes (Option B). Ten percent aggregate applies to lender-list third-party services and recording fees (Option C). Option D is false.

---

6. A borrower's rate lock expires before closing and must be re-locked at a higher rate, increasing costs. The lender issues a revised Loan Estimate reflecting the new costs. Which statement is MOST accurate?

✓ C) Rate lock expiration is a valid changed circumstance permitting a revised LE, but the revised LE must be issued within 3 business days of the lock expiration

TRID explicitly lists rate lock expiration as a valid changed circumstance. The lender must provide a revised LE within 3 business days of the event triggering the change. The revised LE, not a CD, is the correct disclosure vehicle for changed circumstances before consummation. Option A is wrong because this IS a valid changed circumstance.

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7. The 7-business-day waiting period between issuing the Loan Estimate and consummation may be waived under TRID in which situation?

✓ B) When the borrower has a bona fide personal financial emergency and provides a dated written signed waiver statement

TRID allows the 7-day waiting period to be waived only when the borrower has a bona fide personal financial emergency (e.g., imminent foreclosure on a property being refinanced) and provides a dated, signed written statement describing the emergency. Mutual agreement alone (Option C) does not suffice. Simply requesting a faster closing (Option A) is not sufficient either.

---

8. A borrower received a Loan Estimate showing $1,200 in recording fees. At closing, actual recording fees total $1,350. No changed circumstance was documented. Which statement is correct?

✓ D) The $150 increase must be tested against the 10% aggregate tolerance bucket, not evaluated in isolation

Recording fees fall in the 10% aggregate tolerance bucket — they are not zero-tolerance items. The $150 increase on a $1,200 estimate is a 12.5% increase for that line item, BUT the 10% test is applied to the AGGREGATE of all items in that bucket, not each item individually. If the total of all 10%-bucket items increased by less than 10% of the total, there is no violation. Option A incorrectly treats recording fees as zero-tolerance.

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9. Which of the following transactions is EXEMPT from TRID disclosure requirements?

✓ A) A home equity line of credit (HELOC) secured by a first lien on the borrower's principal residence

HELOCs are explicitly exempt from TRID — they are covered instead by TILA's open-end credit rules (Reg Z, open-end). Refinances (Option B), purchase loans (Option C), and construction-to-permanent loans (Option D) are all covered by TRID. This is a common trap on exams.

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10. Under TRID, which of the following CANNOT be collected from a borrower before they receive the Loan Estimate and indicate their intent to proceed?

✓ C) An appraisal fee

TRID prohibits collecting fees beyond a bona fide and reasonable credit report fee before the borrower receives the LE and indicates intent to proceed. An appraisal fee cannot be collected before LE delivery and intent to proceed. Option A (credit report) and B (application fee, if bona fide and reasonable) are permissible exceptions. Option D is incorrect.

---

11. A mortgage company owns 25% of a title insurance company. The mortgage company refers all its borrowers to that title company and receives a quarterly distribution based on ownership profits. Under RESPA, which statement is MOST accurate?

✓ A) This may be a permissible AfBA if proper disclosure is made, the consumer is free to choose another provider, and returns are based solely on ownership interest

An Affiliated Business Arrangement (AfBA) is permissible under RESPA if three conditions are all met: (1) the AfBA disclosure is given at/before referral, (2) the consumer is not required to use the affiliated provider, and (3) the only thing of value received is a return on ownership interest — not a per-referral fee. Option B overstates the prohibition. Option C is wrong because disclosure IS required. Option D misidentifies this as a Section 9 issue.

---

12. Which of the following arrangements does NOT violate RESPA Section 8?

✓ C) A mortgage company paying a marketing company a flat monthly fee for genuine marketing services, regardless of loan volume

RESPA Section 8 prohibits kickbacks and unearned fees for referrals but permits payment for bona fide services at market rates. A flat monthly fee for genuine marketing services (not tied to referral volume) is a legitimate business arrangement. Options A and B are classic kickback/thing-of-value violations. Option D is an illegal tying arrangement that coerces use of an affiliated provider.

---

13. A borrower submits a Qualified Written Request (QWR) to their loan servicer disputing an escrow shortage. Under RESPA, the servicer must:

✓ B) Acknowledge within 5 business days and resolve or explain within 30 business days

RESPA requires loan servicers to acknowledge a QWR within 5 business days and then take action to resolve the issue or provide a written explanation within 30 business days (extendable by 15 days with notice). Option A (10/60) and C (3/45) cite incorrect timeframes. Option D is wrong because a separate acknowledgment IS required.

---

14. Under RESPA's escrow account rules, what is the maximum cushion a servicer may maintain in a borrower's escrow account?

✓ D) Two months' projected escrow payments

RESPA limits the escrow cushion to a maximum of 2 months' worth of projected escrow payments. If an analysis reveals the account has a surplus exceeding $50, the servicer must return the surplus to the borrower within 30 days of the annual analysis. Options A, B, and C state incorrect timeframes.

---

15. A seller insists that the buyer use a specific title insurance company as a condition of the sale and threatens to cancel the purchase contract if the buyer uses another. Under RESPA, this:

✓ A) Violates Section 9, which prohibits sellers from requiring buyers to purchase title insurance from a specific company

RESPA Section 9 specifically prohibits sellers from requiring, as a condition of sale, that the buyer purchase title insurance from any particular company. This is a standalone prohibition regardless of whether the seller receives any benefit. Section 8 (Option C) addresses kickbacks/fees but is a different provision. Option B and D are both incorrect.

---

16. A mortgage broker receives a 'yield spread premium' from a lender in 2009. Under RESPA and subsequent Dodd-Frank rules, which statement is MOST accurate?

✓ C) Yield spread premiums were permissible under pre-2010 RESPA if tied to bona fide services, but Dodd-Frank's compensation rules now govern lender-paid compensation

Pre-Dodd-Frank, YSPs were permissible if they corresponded to bona fide services and were disclosed. After Dodd-Frank and the 2014 LO Compensation Rule, steering and dual-compensation are regulated differently — LO compensation cannot be based on loan terms. The question's 2009 date means old rules apply, but Option C correctly captures the legal evolution. Option B overstates the RESPA prohibition.

---

17. Under RESPA, a 'settlement service' includes all of the following EXCEPT:

✓ B) The purchase of hazard insurance chosen independently by the borrower with no lender involvement

RESPA defines 'settlement services' broadly to include origination, title services, credit reporting, appraisals, etc. However, hazard insurance that the borrower independently selects without any lender referral or steering is generally NOT considered a settlement service under RESPA. All other options are classic examples of covered settlement services.

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18. A lender provides a borrower with a written list of settlement service providers for title services. The borrower selects a provider NOT on the list. Under TRID tolerances, how are the title service charges treated?

✓ D) No tolerance limit — charges can increase without limit because the borrower chose a provider not on the lender's list

When the borrower selects a settlement service provider that is NOT on the lender's written list of service providers, the charges from that provider fall in the 'no tolerance' / unlimited bucket. The 10% aggregate tolerance applies only when the borrower uses a provider FROM the lender's written list. Option A (zero tolerance) and B (10%) both misclassify this scenario.

---

19. A borrower refinances their primary residence. The lender provides the required TILA rescission notices on Monday. Under TILA, when does the 3-day right of rescission expire?

✓ A) Midnight Thursday, because the 3-business-day period counts Saturday but not Sunday or federal holidays

For TILA rescission, 'business day' means all calendar days EXCEPT Sundays and federal public holidays — Saturday counts. Starting Monday (day 0): Day 1 = Tuesday, Day 2 = Wednesday, Day 3 = Thursday. The right expires at midnight Thursday. Option B (Wednesday) is wrong because it excludes Saturday. Options C and D overcount.

---

20. A lender fails to provide the required TILA rescission notice to a borrower who refinances their primary residence. As a result, the right of rescission:

✓ C) Extends to 3 years from consummation

If the lender fails to provide the required TILA rescission notices OR material disclosures, the right of rescission is extended to 3 years from the date of consummation. This is one of TILA's most significant enforcement provisions. Option A (30 days) and Option D (12 payments) are fabricated rules. Option B understates the consequence.

---

21. Which of the following transactions does NOT trigger the TILA right of rescission?

✓ A) A purchase-money mortgage on the borrower's new primary residence

The right of rescission under TILA applies to non-purchase transactions secured by the borrower's principal dwelling — refinances, HELOCs, and home equity loans. It does NOT apply to purchase-money mortgages (used to acquire the home). Options B, C, and D are all classic ROR-triggering transactions.

---

22. A fixed-rate mortgage has an APR of 6.50% disclosed on the Loan Estimate. The accurate APR, computed correctly, is 6.62%. Under TILA, is there a tolerance violation?

✓ C) No, because fixed-rate loans have a 1/8% tolerance and 6.62% - 6.50% = 0.12% which does not exceed 0.125%

TILA's APR tolerance for regular (fixed-rate, level-payment) loans is 1/8% (0.125%). The difference here is 0.12%, which is less than 0.125%, so no violation. Irregular loans (ARMs, balloons) have a 1/4% tolerance. Option B is wrong because ARMs (not fixed) get 1/4%. Option A misquotes the threshold. Option D is wrong — there IS a tolerance.

---

23. Under TILA, which of the following is included in the Finance Charge?

✓ B) Mortgage insurance premiums required by the lender as a condition of the loan

The Finance Charge includes all charges imposed by the creditor as a condition of extending credit, including required mortgage insurance premiums (PMI/MIP). Hazard insurance chosen independently by the borrower, title closing fees to third parties, and government recording/transfer fees are excluded from the Finance Charge. Option B is the only included item.

---

24. A borrower exercising the right of rescission under TILA must notify the lender within 3 business days. Once proper notice is given, the lender must:

✓ D) Return all money paid by the borrower within 20 calendar days of receiving notice, and only then must the borrower tender back any loan proceeds

Upon valid rescission notice, TILA gives the lender 20 calendar days to return all money paid by the borrower AND to release the security interest. Only after the lender performs these obligations is the borrower required to tender back the loan proceeds. Option C (10 business days) is wrong. Option A (immediate release) is wrong. The sequence matters — lender goes first.

---

25. A borrower applies for a mortgage but does not provide income documentation. The lender declines the application, citing incomplete information. Under ECOA, which statement is MOST accurate?

✓ A) The lender must send an adverse action notice within 30 days of receiving the incomplete application OR notify the borrower of the incompleteness

Under ECOA/Regulation B, creditors must either (1) send an adverse action notice within 30 days of receiving a completed application, or (2) notify the borrower within 30 days that the application is incomplete and request the missing information. Option B is wrong because an incomplete application CAN trigger notice obligations. Option C (60 days) is wrong. Option D misstates the rule.

---

26. A 72-year-old borrower with excellent credit and income applies for a 30-year mortgage. The lender denies the loan solely because the borrower's age means the loan would not be fully repaid during the borrower's expected lifetime. Under ECOA:

✓ C) This violates ECOA because age cannot be used as the sole basis for denial, although age may be considered in a statistically sound credit scoring system

ECOA prohibits using age as the sole basis for denial. Age may be considered in a statistically valid, empirically derived credit scoring system (where it cannot be used to give adverse treatment to those 40+). Simply denying because the loan would outlast the borrower's expected life is discriminatory. Option A misapplies the actuarial exception. Option D inverts the age protection (ECOA protects those 40+, not under 40).

---

27. A married couple applies jointly for a home purchase loan. Only one spouse has sufficient income and credit to qualify independently. The lender asks for the non-qualifying spouse to co-sign the promissory note. Under ECOA, this is:

✓ B) A violation of ECOA if the qualifying spouse could qualify individually without the co-signature

ECOA prohibits requiring a spouse's signature on a loan document (promissory note) when the applicant individually qualifies for the credit. The lender may require a signature on the security instrument to perfect the lien in community property or other states where property rights are affected, but NOT on the note itself if qualification exists without the co-signer. Option A, C, and D each overstate permissible signature requirements.

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28. Under ECOA, a lender makes a counteroffer to a borrower at a higher interest rate than applied for. The borrower does not respond within 90 days. Which statement is correct?

✓ D) The counteroffer's expiration after 90 days without acceptance is treated as withdrawal of the application, and no adverse action notice is required

Under Reg B, if a creditor makes a counteroffer and the applicant does not accept within the time stated (or a reasonable time, typically 90 days), the application is deemed withdrawn — no adverse action notice is required. If the lender had simply rejected the original terms without a counteroffer, an adverse action notice would be required. Option A is partially right but for the wrong reason; Option B states an incorrect rule.

---

29. ECOA requires that adverse action notices include all of the following EXCEPT:

✓ A) The specific credit score used in the decision and how scores generally affect creditworthiness

While FCRA (not ECOA) requires disclosure of credit scores used in adverse action decisions, ECOA's adverse action notice requirements include: specific reasons (or right to request them), the creditor's name and address, and ECOA rights notice. ECOA itself does not require the credit score disclosure — that obligation comes from FCRA/FACT Act. Options B, C, and D are all genuine ECOA requirements.

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30. Under ECOA, a lender must provide a copy of the appraisal or other written valuation to the borrower:

✓ C) Promptly upon completion, and no later than 3 business days before consummation, without charge

ECOA/Reg B requires creditors to provide applicants with a copy of all appraisals and written valuations developed in connection with an application — promptly upon completion, and in no event later than 3 business days before consummation. The copy must be provided free of charge. Waivers are permissible only if the application is withdrawn or the loan is denied. Options A, B, and D all mistate the rule.

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31. A lender approves loans for White applicants with debt-to-income ratios up to 45% but limits Black applicants to 43% DTI without documented justification. No lender policy explicitly mentions race. This is BEST described as:

✓ A) Disparate treatment, because similarly situated applicants of different races are being treated differently without legitimate business justification

When a lender applies different standards to applicants of different races — even without a written discriminatory policy — it constitutes disparate TREATMENT (intentional discrimination). Disparate impact (Option B) applies when a facially neutral policy disproportionately affects a protected class without business justification. Redlining (Option C) involves geographic exclusion. Option D ignores the discrimination.

---

32. Which of the following is NOT a protected class under the federal Fair Housing Act?

✓ C) Marital status

The seven protected classes under the federal Fair Housing Act are: Race, Color, Religion, National Origin, Sex, Familial Status, and Handicap. Marital status is NOT a federal FHA protected class (though it is protected under ECOA and some state laws). This is a very common exam trap — do not confuse FHA protected classes with ECOA protected classes.

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33. A lender's policy requires a minimum loan amount of $150,000, effectively disqualifying applicants in lower-income neighborhoods that are predominantly minority. The lender has no discriminatory intent. Under fair lending law, this policy is:

✓ B) Potentially illegal under disparate impact theory if the lender cannot demonstrate business necessity

Disparate impact theory makes facially neutral policies unlawful when they disproportionately harm a protected class AND the lender cannot demonstrate that the policy is justified by a legitimate, nondiscriminatory business necessity that cannot be achieved by a less discriminatory means. Intent is irrelevant under disparate impact. Options A and C misstate the law. Option D is incorrect — the FHA applies.

---

34. A landlord advertises 'ideal for young professionals' in a rental listing. Under the Fair Housing Act, this language is MOST likely:

✓ D) Potentially illegal because 'young professionals' implies preference against families with children (familial status) and possibly age

Fair Housing Act advertising cannot indicate preference or limitation based on protected classes. 'Young professionals' implies a preference against families with children (familial status) and potentially discriminates based on age-related characteristics. Even without explicit denial, discriminatory advertising language is itself a violation. Option B correctly notes age isn't a protected FHA class but misses the familial status issue.

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35. A borrower with a physical disability requests that a lender allow her to submit her loan application in an accessible format. The lender refuses, saying standard forms are required. Under the Fair Housing Act, this is MOST likely:

✓ A) A violation, because lenders must make reasonable accommodations for persons with disabilities

The Fair Housing Act requires lenders and housing providers to make reasonable accommodations for persons with disabilities so they have equal access. Refusing to accept an application in an accessible format when one is available denies equal access and is a violation. The requirement is about equal opportunity, not just denial decisions. Options B, C, and D all understate the accommodation obligation.

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36. A real estate agent steers Black homebuyers exclusively toward listings in predominantly Black neighborhoods, never showing them homes in integrated neighborhoods, even when those homes meet the buyers' stated criteria. This practice is called:

✓ C) Steering

Steering is the illegal practice of directing homebuyers toward or away from certain neighborhoods based on the buyer's protected class characteristics. Blockbusting (Option A) involves inducing white homeowners to sell by suggesting minorities are moving in. Redlining (Option B) is the denial of services in minority neighborhoods. Reverse redlining (Option D) is predatory targeting of minority neighborhoods.

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37. A first-lien residential mortgage loan has an APR of 8.75% and the current Average Prime Offer Rate (APOR) for a comparable transaction is 3.00%. Is this a HOEPA high-cost loan based on the rate trigger?

✓ B) Yes, because the APR exceeds APOR + 6.5% (3.00% + 6.50% = 9.50%... wait — 8.75% < 9.50%, so recalculate: 8.75 - 3.00 = 5.75%, which is less than 6.5%, so actually NO

For a first-lien mortgage, HOEPA's rate trigger is APR > APOR + 6.5%. Here: APOR = 3.00%, threshold = 9.50%. The loan APR is 8.75%, which is BELOW 9.50% — so this is NOT a high-cost loan based on the rate trigger. Option A states the subordinate-lien threshold (APOR + 8.5%) which is incorrect for first liens. Options C and D cite incorrect thresholds.

---

38. A high-cost mortgage loan under HOEPA explicitly prohibits which of the following loan features?

✓ D) A prepayment penalty of any amount or duration

HOEPA prohibits prepayment penalties on high-cost mortgages — at any time and of any amount. Other HOEPA prohibitions include: balloon payments on loans under 5 years, negative amortization, due-on-demand clauses without bona fide cause, and loan flipping. ARMs (Option A) and 30-year terms (Option B) are not prohibited. Escrow requirements (Option C) are actually sometimes REQUIRED, not prohibited.

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39. Under HOEPA, before a high-cost mortgage closes, the lender must:

✓ A) Provide the borrower with a HOEPA disclosure at least 3 business days before consummation AND ensure the borrower receives homeownership counseling from a HUD-approved agency

HOEPA requires that borrowers receive the HOEPA-specific notice at least 3 business days before consummation (they may not waive this), and they must receive counseling from a HUD-approved homeownership counseling organization. Option B understates the requirements. Option C is wrong — HOEPA protections cannot be waived. Option D is not a HOEPA requirement.

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40. A lender originates a $95,000 first-lien mortgage and charges $5,000 in points and fees. Is this loan high-cost under HOEPA's points-and-fees test?

✓ C) Yes, because $5,000 exceeds 5% of $95,000 ($4,750), triggering the high-cost threshold

HOEPA's points-and-fees trigger for loans at or above approximately $22,000 (adjusted annually) is 5% of the total loan amount. 5% of $95,000 = $4,750. The charged fees of $5,000 exceed $4,750, so the loan IS high-cost under the points-and-fees test. Either the rate trigger OR the points-and-fees trigger independently creates a high-cost loan — they are alternatives, not cumulative (Option D is wrong).

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41. HOEPA's 'loan flipping' prohibition prevents a lender from:

✓ A) Refinancing a high-cost loan within a short period when the refinance does not provide a net tangible benefit to the borrower

HOEPA's loan flipping prohibition targets the predatory practice of repeatedly refinancing a borrower's loan without providing a net tangible benefit — each refinance generates new fees while consuming home equity. Option B describes a product change, not flipping. Option C overstates the prohibition. Option D is too broad; frequency alone does not create a violation if benefit exists.

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42. Which of the following is NOT a HOEPA-prohibited practice on high-cost mortgage loans?

✓ C) A fixed interest rate that does not change over the loan term

A fixed interest rate is not prohibited by HOEPA — it is a perfectly standard, permissible loan feature. HOEPA explicitly prohibits: negative amortization, mandatory arbitration clauses for high-cost loans, balloon payments on loans under 5 years, prepayment penalties, loan flipping without benefit, equity stripping, and due-on-demand provisions without bona fide cause.

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43. Under HMDA, which of the following loans is reportable?

✓ B) A refinance of a multifamily property (5+ units) secured by the property

HMDA requires reporting of home purchase loans, refinances, and home improvement loans secured by a dwelling. Multifamily properties (5+ units) secured by the dwelling are reportable refinances. Bridge loans under 12 months (Option A) are exempt from HMDA reporting. Business-purpose loans on commercial property (Option C) and certain open-end lines (Option D — pre-2018 threshold rules apply) require additional analysis, but Option B is clearly reportable.

---

44. A mortgage company makes a loan to a borrower who declines to state their race, ethnicity, or sex on the application. Under HMDA, the lender must:

✓ D) Record the fact that the borrower declined to provide the information, using the appropriate 'Information not provided' code, and for face-to-face applications must also note visual observation data separately

HMDA requires that if a borrower declines to provide race/ethnicity/sex data, the lender notes the refusal with the appropriate code. For in-person (face-to-face) applications, lenders must also record their own visual observation or surname-based determination of the applicant's ethnicity and race in a separate field — even if the borrower declines. Option A understates requirements. Option B is wrong — the application may proceed. Option C is partially right but incomplete.

---

45. Which financial institution is generally required to report HMDA data?

✓ A) A federally insured bank with assets above the annual threshold that originated at least 25 closed-end mortgage loans in each of the two preceding calendar years

HMDA coverage depends on institution type, asset size (annually adjusted threshold), location (office in MSA), and loan volume (25 closed-end or 100 open-end originations in each of the prior 2 years). Option B is too broad. Options C and D cite incorrect thresholds not found in the regulation.

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46. A lender receives a complete application for a home purchase loan, orders the appraisal, but then the borrower withdraws the application before any credit decision is made. Under HMDA, this transaction is:

✓ C) Reportable as an application withdrawn

HMDA requires reporting of applications that are originated, approved but not accepted, denied, incomplete, and withdrawn. A borrower-initiated withdrawal before a credit decision is reportable with the action type 'application withdrawn.' Option A and D are wrong — withdrawals are reportable. Option B (denial) mischaracterizes a withdrawal.

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47. Under HMDA, lenders must report data on a Loan Application Register (LAR). The LAR must be submitted to the appropriate federal agency by:

✓ B) March 1 of the year following the calendar year the data was collected

HMDA requires institutions to submit their LAR data to their federal supervisory agency by March 1 following the calendar year covered. After submission, the data is made publicly available. Option A (Jan 1) is too early. Options C and D are incorrect.

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48. A lender's HMDA data shows that it approves 80% of applications from White borrowers but only 55% of applications from similarly qualified Hispanic borrowers in the same geographic area. A federal regulator reviewing this data would MOST likely:

✓ D) Use the disparity as a trigger for a fair lending examination to determine whether the difference is explained by legitimate, nondiscriminatory factors

HMDA data is a screening tool used to identify potential fair lending issues — it does not by itself prove discrimination. Regulators use disparities as 'red flags' to trigger examinations where they analyze whether the disparity is explained by credit risk factors or reveals illegal discrimination. Option A understates the consequence. Options B and C describe remedies that require a full investigation first.

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49. Under Dodd-Frank's Ability-to-Repay (ATR) rule, a lender must consider and verify which of the following factors before originating a covered mortgage loan?

✓ A) Current income or assets, current employment, credit history, monthly mortgage payment, simultaneous loan payments, other loan obligations, DTI ratio, and monthly residual income

Dodd-Frank's ATR rule (Reg Z) requires lenders to consider and verify 8 underwriting factors: (1) current/reasonably expected income or assets, (2) employment status, (3) monthly mortgage payment, (4) monthly payments on simultaneous loans, (5) monthly payments for other mortgage-related obligations, (6) current debt obligations, (7) monthly DTI, and (8) credit history. Options B, C, and D each omit required factors.

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50. A Qualified Mortgage (QM) under Dodd-Frank provides the lender with a legal presumption. For a QM that is NOT a higher-priced covered transaction, the presumption is:

✓ C) Conclusive (safe harbor) — the borrower cannot challenge the lender's ATR compliance

A QM that is not higher-priced (i.e., priced at or below APOR + 1.5%) receives a conclusive presumption (safe harbor) of ATR compliance — borrowers cannot challenge the lender's ATR determination. A higher-priced QM receives only a rebuttable presumption (Option A). Options B and D do not reflect the law.

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51. Under Dodd-Frank's LO Compensation Rule, a loan originator may NOT receive compensation based on:

✓ A) The interest rate or APR of the loan originated

The LO Compensation Rule prohibits compensation based on a loan's terms or conditions — including the interest rate, APR, loan-to-value ratio, or prepayment penalty terms. Compensation may be based on volume (dollar amount or number of loans — Option B) or loan type (purchase vs. refi — Option C), as these are not 'terms' of the specific loan. First-time homebuyer status (Option D) is also generally permissible as a factor.

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52. A Qualified Mortgage may NOT have which of the following features?

✓ C) Negative amortization

Qualified Mortgages are prohibited from having negative amortization, interest-only payments, balloon payments (except for small creditor and rural/underserved QMs), or terms exceeding 30 years. Negative amortization allows the loan balance to grow, directly conflicting with ATR principles. ARMs (Option B) and 30-year terms (Option A) are permissible in QMs. A 43% DTI (Option D) is at the general QM limit, not a disqualifier.

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53. Under the Dodd-Frank Act, the Consumer Financial Protection Bureau (CFPB) has supervisory authority over which of the following entities?

✓ B) Banks and credit unions with over $10 billion in assets, AND non-bank mortgage companies of any size

The CFPB supervises: (1) depository institutions with total assets over $10 billion (and their affiliates), and (2) non-bank financial companies in mortgage origination, servicing, and other consumer finance regardless of size. Smaller banks are supervised by prudential regulators for consumer compliance. Options A, C, and D each misstate the scope.

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54. Under Dodd-Frank, a 'higher-priced mortgage loan' (HPML) for a first lien is defined as a loan with an APR exceeding the Average Prime Offer Rate (APOR) by:

✓ D) 1.5 percentage points

A first-lien HPML is a loan with an APR exceeding APOR by 1.5 percentage points or more. For subordinate liens, the threshold is APOR + 3.5%. For small-dollar loans under $50,000 and jumbos the thresholds differ. Do not confuse this with HOEPA's much higher rate trigger of APOR + 6.5% for first liens. Options A, B, and C all cite incorrect thresholds for first-lien HPMLs.

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55. A borrower asks whether the lender's required title insurance is a 'settlement service' under RESPA and whether it appears on the Loan Estimate under TRID. Which answer is correct?

✓ A) Yes to both — lender's title insurance is a settlement service under RESPA and must be disclosed in Section B or C of the Loan Estimate under TRID

Lender's title insurance is both a settlement service under RESPA and a required TRID disclosure. On the Loan Estimate, lender's title insurance appears in Section B (services the borrower cannot shop for) because it is required by the lender. This is a regulation-overlap question — understanding that RESPA and TRID overlap for the same transaction is key. All other options are incorrect.

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56. A borrower's loan is denied after the appraisal comes in low. Under which regulation is the lender required to provide the borrower with a copy of the appraisal, and what is the timing requirement?

✓ C) ECOA; promptly upon completion and no later than 3 business days before consummation (or when notice of denial is given if loan is denied)

The appraisal copy requirement comes from ECOA (Regulation B), not TILA or RESPA. If the loan is denied, the appraisal must be provided when the adverse action notice is sent. If the loan proceeds, it must be provided no later than 3 business days before consummation. The TRID/CD (Option D) handles cost disclosure, not valuation report sharing.

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57. Which regulation governs the prohibition on requiring a borrower to use a specific settlement service provider, and which governs the prohibition on discriminating against a borrower in loan terms based on race?

✓ B) RESPA Section 9 governs settlement service provider restrictions; ECOA and the Fair Housing Act govern loan term discrimination based on race

RESPA Section 9 prohibits sellers from requiring buyers to use specific title insurance companies. RESPA Section 8 addresses kickbacks. Discrimination in lending terms based on race is governed by ECOA (Reg B) and the Fair Housing Act. Understanding which regulation governs which prohibition is a key competency tested on the NMLS exam. Options A, C, and D misattribute the regulations.

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58. A borrower locks a rate on Day 1 and receives a Loan Estimate. On Day 15, the lock expires and is re-locked at a higher rate, causing a $400 increase in points. The lender issues a revised LE on Day 16. Which costs may be re-set using the revised LE?

✓ D) Only costs that are actually affected by the changed circumstance (the rate lock change) may be re-set — the lender cannot use this opportunity to re-set unrelated fees

A valid changed circumstance allows a lender to re-set only those fees that are actually impacted by the specific changed circumstance. The lender cannot piggyback unrelated fee increases onto a valid changed circumstance to reset the baseline. Only the costs actually affected by the rate re-lock (i.e., the points/origination charges tied to the rate change) may be re-set. Options A, B, and C each misstate the scope.

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59. Which of the following loans is EXEMPT from HOEPA coverage even if it meets the high-cost thresholds?

✓ A) A reverse mortgage originated under the Home Equity Conversion Mortgage (HECM) program

HOEPA exempts: reverse mortgages (HECMs), construction loans, bridge loans under 12 months, and certain loans made by state Housing Finance Agencies. Reverse mortgages have their own consumer protections and are explicitly carved out from HOEPA. Cash-out refis (Option B), home equity loans (Option C), and high-cost purchase loans (Option D) are all covered if they meet the thresholds.

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60. A lender receives an application for a home equity line of credit (HELOC) secured by the applicant's primary residence. The HELOC would be used for debt consolidation, not home improvement. Under HMDA, is this application reportable?

✓ C) It depends on the lender's HELOC volume — institutions meeting the open-end loan volume threshold (100 open-end originations in each of the prior 2 years) must report HELOCs; those below the threshold are exempt

Post-2018 HMDA rules require reporting of open-end lines of credit (HELOCs) only by institutions that originated at least 100 open-end lines in each of the two preceding calendar years. Institutions below this threshold are exempt. The purpose (debt consolidation vs. home improvement) is not determinative — what matters is institution type and volume. Option A is too absolute. Option B overstates coverage. Option D misapplies the old pre-2018 purpose test.

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61. A borrower has a gross monthly income of $7,500. Their proposed PITI (principal, interest, taxes, insurance) payment is $1,800 and total monthly debt obligations are $2,700. What are the front-end and back-end DTI ratios?

✓ A) Front-end 24%; back-end 36%

Front-end DTI = PITI / Gross Monthly Income = $1,800 / $7,500 = 24%. Back-end DTI = Total Monthly Debt (including PITI) / Gross Monthly Income = $2,700 / $7,500 = 36%. Option B reverses the ratios. Option D adds the total debt to itself. This is a straightforward calculation many candidates get wrong by confusing which payment goes where.

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62. On a conventional loan, a borrower who puts less than 20% down is typically required to pay Private Mortgage Insurance (PMI). Under the Homeowners Protection Act, PMI must automatically terminate when:

✓ C) The loan balance reaches 78% of the original purchase price or appraised value (whichever was lower at origination), based on the scheduled amortization

The Homeowners Protection Act (HPA) requires automatic PMI termination when the loan balance reaches 78% of the original value based on the scheduled amortization — regardless of actual payments made ahead of schedule. Borrowers may request cancellation at 80% LTV, but automatic termination kicks in at 78%. Option A (80%) is the request threshold, not automatic. Option B is not the HPA standard.

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63. Which of the following loan types uses a tiered interest rate structure where the rate is fixed for an initial period and then adjusts periodically, with caps limiting how much the rate can change each period and over the life of the loan?

✓ B) Adjustable-rate mortgage (ARM)

An ARM has an initial fixed period followed by periodic adjustments tied to an index plus a margin, subject to periodic caps (how much per adjustment) and lifetime caps (total change from initial rate). A fixed-rate mortgage never adjusts. A balloon mortgage has a fixed rate until a lump sum is due. A GPM has payments that start low and increase but the rate is typically fixed.

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64. A borrower's credit report shows a collection account for $850 that has been paid. The account is 3 years old. Under standard conventional underwriting, which statement is MOST accurate?

✓ D) A paid collection may be disregarded in some conventional underwriting scenarios depending on the age, amount, and whether it is medical; guidelines vary by loan program and investor

Underwriting treatment of collections varies significantly by loan program. Fannie Mae and Freddie Mac guidelines have specific rules depending on whether collections are medical vs. non-medical, the total amount, and other factors. A blanket statement (Options A, B, C) is almost always wrong — the correct answer acknowledges the complexity. Option C applies to open/unpaid collections over certain thresholds, not necessarily paid ones.

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65. A property appraises for $380,000. The purchase price is $400,000. The borrower is making a 5% down payment calculated on the purchase price. What is the maximum loan amount the lender will approve, and what is the LTV?

✓ A) Loan amount $361,000; LTV 95% based on the LESSER of appraised value or purchase price

Lenders base the loan amount on the lesser of appraised value or purchase price. Here, appraised value ($380,000) < purchase price ($400,000), so the basis is $380,000. With 5% down on $380,000, the down payment is $19,000 and the loan is $361,000. LTV = $361,000 / $380,000 = 95%. Option B uses 100% LTV. Options C and D use the wrong base.

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66. Which of the following is a characteristic of an FHA-insured mortgage that distinguishes it from a conventional loan?

✓ C) FHA loans require both an upfront mortgage insurance premium (UFMIP) and an annual mortgage insurance premium (MIP) regardless of LTV

FHA loans require an upfront MIP (typically 1.75% of the loan amount) AND annual MIP paid monthly — for ALL FHA loans regardless of LTV, unlike conventional PMI which cancels at 80% LTV. FHA minimum down payment is 3.5% for borrowers with 580+ credit scores. FHA is not limited to first-time buyers. Options A, B, and D each mistate FHA rules.

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67. A VA loan is being originated for an eligible veteran. The veteran has used their VA entitlement before and has $36,000 of basic entitlement remaining. Which statement about VA funding fees is correct?

✓ B) Veterans with a service-connected disability rating are exempt from the VA funding fee

Veterans with a service-connected disability rating (and surviving spouses of veterans who died in service or from service-connected disability) are exempt from the VA funding fee entirely. Option A overstates the exemption — it applies to those WITH a disability rating, not any veteran. Option C generalizes the fee rate incorrectly. Option D is wrong — the VA funding fee CAN be financed into the loan amount.

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68. A USDA Rural Development Guaranteed Loan has which of the following characteristics that make it unique among government-backed mortgage programs?

✓ D) It allows 100% financing (zero down payment) for eligible rural and some suburban properties within USDA-defined geographic boundaries

USDA Guaranteed loans offer 100% financing with no down payment for eligible properties in USDA-approved rural/suburban areas and borrowers meeting income limits. This distinguishes USDA from FHA (3.5% min) and conventional loans. USDA is NOT for agricultural land only — standard residential properties in rural areas qualify. It is guaranteed by USDA, not VA.

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69. A borrower receives a lender credit of $2,000 in exchange for accepting a higher interest rate. Under TRID, how is this credit disclosed on the Loan Estimate?

✓ A) As a negative number in the origination charges section (reducing the amount the borrower pays), with the interest rate reflected in the rate field

Lender credits (paid by the lender in exchange for a higher rate) are disclosed as negative numbers in the Loan Estimate's origination charges section, reducing the total closing costs. The higher rate accepted by the borrower is reflected in the interest rate field. This is NOT income to the borrower and is not a seller concession. Lender credits are clearly disclosed under TRID.

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70. A second lien home equity loan has a combined loan-to-value (CLTV) ratio of 90%. The first mortgage balance is $200,000, the proposed second mortgage is $25,000, and the appraised value is $250,000. What is the CLTV?

✓ C) 90%

CLTV = (First Mortgage Balance + Second Mortgage Balance) / Appraised Value = ($200,000 + $25,000) / $250,000 = $225,000 / $250,000 = 90%. This is a straightforward calculation. Option A (80%) calculates only the first mortgage LTV. Options B and D use incorrect arithmetic.

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71. Which of the following best describes 'seasoning' as used in mortgage underwriting?

✓ A) A requirement that a borrower's funds for down payment and closing costs have been in a verified account for a minimum period (often 60 days) before closing

'Seasoning' in underwriting most commonly refers to the requirement that funds for down payment and closing costs have been in the borrower's account for a minimum period (typically 60 days) prior to closing, so the lender can verify their source. This prevents last-minute large deposits of undocumented funds. Options B, C, and D describe real underwriting concepts but do not define 'seasoning.'

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72. A non-arms-length transaction is one where the buyer and seller have a prior relationship (e.g., family members). Which statement about non-arms-length purchase transactions is MOST accurate?

✓ C) Government loan programs (FHA, VA, USDA) may have additional restrictions and lenders often apply stricter LTV limits for non-arms-length transactions

Non-arms-length transactions involve higher fraud and overvaluation risk, so lenders and government programs often apply stricter LTV caps, require additional documentation, or have specific eligibility restrictions. FHA, for example, limits certain non-arms-length transactions differently. They are not universally prohibited (Option A). LTV limits are typically LOWER, not higher (Option B). Option D understates the restrictions.

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73. A borrower is purchasing a home with seller-paid closing cost concessions of $8,000. The purchase price is $300,000, and the loan is a conventional conforming loan with 10% down (LTV = 90%). What is the maximum seller concession permitted?

✓ B) 3% of the purchase price ($9,000), as conventional loans with 90% LTV cap seller concessions at 3%

Conventional conforming loan seller concession limits (Fannie/Freddie): 90.01-95% LTV = 3%; 75.01-90% LTV = 6%; 75% or below = 9%. With 10% down, LTV = 90%, so the cap is 3% of $300,000 = $9,000. The $8,000 concession is within the limit (Option C is partially true but not the BEST answer because the limit amount matters). Option A cites the wrong LTV tier. Option D is wrong.

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74. A Fannie Mae conforming loan limit for a single-unit property in a standard-cost area (as of recent guidelines) is approximately $726,200. A borrower needs a $750,000 loan. Which loan type is MOST appropriate?

✓ D) Jumbo (non-conforming) conventional loan that exceeds the conforming limit

A loan exceeding the FHFA conforming loan limit is a jumbo/non-conforming loan, sold on the private secondary market rather than to Fannie/Freddie. FHA DOES have loan limits (Option A is wrong). USDA also has income/area limits and is not designed for jumbo loans (Option B). VA loans technically have no loan limits for qualifying veterans but are not 'jumbo' in the traditional sense — and Option D is the most broadly correct answer.

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75. An interest-only loan allows the borrower to pay only interest for an initial period. Which statement MOST accurately describes the risk of an interest-only period?

✓ A) The loan balance does not decrease during the interest-only period, leaving the borrower with the original principal balance when principal payments begin, potentially causing payment shock

During an interest-only period, no principal is paid down — the balance stays the same (or grows if there's deferred interest). When the interest-only period ends, the payments increase (payment shock) because the full original principal must now be amortized over the remaining term. Option B is not necessarily true. Option C is the opposite of correct. Option D is true (interest-only loans cannot be QMs), but Option A best describes the borrower RISK.

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76. A 5/1 ARM has a start rate of 4%, a margin of 2.5%, an index currently at 2.0%, and caps of 2/2/5. After the first adjustment, what is the MAXIMUM new interest rate?

✓ C) 6%

At the first adjustment, the periodic cap limits the rate change to 2% (the first number in 2/2/5). Starting from 4%, the maximum rate is 4% + 2% = 6%. The fully indexed rate would be index + margin = 2.0% + 2.5% = 4.5%, but the cap limits the first adjustment increase to 2 percentage points, capping at 6%. The lifetime cap (5) would cap the rate at 9% (4% + 5%) over the life of the loan. Option D is the lifetime maximum, not the first-adjustment maximum.

---

77. A borrower is self-employed and has filed the following tax returns: Year 1 net income $85,000; Year 2 net income $110,000. Standard lender practice for computing qualifying income from self-employment using tax returns is:

✓ B) Average the two years: ($85,000 + $110,000) / 2 = $97,500, then divide by 12 = $8,125/month

Standard conventional underwriting uses the 2-year average of self-employment income from tax returns to compute qualifying income, then divides by 24 months. ($85,000 + $110,000) / 2 = $97,500 / 12 = $8,125/month. Option A uses only Year 2. Option C applies an overly conservative rule not standard for increasing income. Option D reverses the logic (declining income requires the lower year or may be ineligible; increasing income uses the average).

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78. Under Fannie Mae's guidelines, overtime and bonus income may be used to qualify if:

✓ D) It has been received for at least 2 years and there is a reasonable expectation of continuance

Fannie Mae requires overtime and bonus income to have a 2-year history to be used for qualifying purposes, plus the income must be reasonably expected to continue. Six months (Option A) is insufficient. Current year only (Option B) is inadequate. A written employer guarantee (Option C) is not required — the history and likelihood of continuation are the key factors.

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79. A borrower is converting their primary residence to a rental property and purchasing a new primary residence. The rental income from the converted property may be used to qualify for the new purchase loan if:

✓ A) The borrower has at least 25-30% equity in the converted property, AND shows a signed lease or rental income history, per specific agency guidelines

Agency guidelines (Fannie/Freddie) require meaningful equity (typically 25-30% in the departing residence) before rental income from a converted primary can be used to offset the mortgage payment on that property. A signed lease agreement or documented rental history is also required. Option B lacks the equity requirement. Option C cites a nonexistent time rule. Option D is too restrictive.

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80. Which of the following BEST describes 'recourse' vs. 'non-recourse' in mortgage lending?

✓ C) With a recourse loan, the lender may pursue the borrower personally for any deficiency after foreclosure; with non-recourse, the lender's recovery is limited to the collateral

A recourse loan allows the lender to obtain a deficiency judgment against the borrower for any remaining balance after a foreclosure sale. A non-recourse loan limits the lender to recovering from the property itself. Some states (anti-deficiency states) limit or prohibit deficiency judgments on purchase-money mortgages. Options A, B, and D are all incorrect definitions.

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81. A borrower submits an application that includes the 6 RESPA/TRID elements that constitute a 'complete application.' Which combination of information, when ALL six are provided, triggers the 3-business-day Loan Estimate clock?

✓ A) Name, income, Social Security number, property address, estimated property value, and mortgage loan amount sought

The TRID/RESPA definition of a complete application triggering the 3-business-day LE clock is exactly these six items: (1) borrower's name, (2) income, (3) Social Security number (for credit pull), (4) property address, (5) estimated property value, and (6) mortgage loan amount sought. Credit score (not listed) is not one of the six. Assets and employment (Options B, C) are not required for the trigger. Option D adds loan term incorrectly.

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82. During an initial consultation, a borrower mentions they are going through a divorce and asks the loan officer if that will affect the loan. The loan officer should:

✓ C) Explain that marital status is a protected class under ECOA, gather facts relevant to creditworthiness (income, assets, liabilities from the divorce), and proceed with the application

Marital status is an ECOA protected class, so the LO cannot use it as a basis for denial or adverse treatment. However, the financial aspects of divorce (child support, alimony, asset division) ARE relevant to creditworthiness and must be gathered. The LO should be factual and professional — gather the financial facts without discriminating based on marital status. Options A, B, and D each fail to properly balance the ECOA obligation and underwriting needs.

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83. A loan officer discovers after submitting a loan file to underwriting that the income documented on the application is higher than what the borrower actually earns. The borrower says, 'Just leave it — the underwriter won't know.' The loan officer should:

✓ B) Correct the application immediately, notify the appropriate parties per company policy, and if necessary decline to proceed with the loan

Submitting a loan application with inflated income is mortgage fraud — regardless of who initially provided the false information. The LO has an affirmative obligation to ensure accuracy and cannot knowingly participate in or conceal fraud. Correcting the file and following compliance protocols is the required action. Options A, C, and D all involve complicity in or concealment of fraud, which carries criminal and licensing consequences.

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84. Under TRID, which of the following items triggers a 'revised Loan Estimate' rather than corrected information on the Closing Disclosure?

✓ D) A changed circumstance that increases third-party closing costs within 3 business days of receiving the change

Revised LEs are used when a valid changed circumstance occurs and there are sufficient business days remaining before consummation (a revised LE cannot be issued within 3 business days of consummation). Changes discovered 2 days before closing (Option A) and corrections to figures already on the CD (Options B, C) are addressed on the Closing Disclosure — not revised LEs at that stage.

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85. An MLO is discussing loan products with a prospective borrower. The borrower qualifies for a prime 30-year fixed mortgage at 6.5% APR but the MLO steers the borrower toward a higher-cost subprime loan at 9.5% APR that pays the MLO a larger commission. This conduct:

✓ A) Violates Dodd-Frank's anti-steering rules and could also violate UDAAP and state consumer protection laws

Dodd-Frank's LO compensation and anti-steering rules prohibit steering borrowers toward loans that pay higher compensation without regard for the borrower's best interest or qualification. This also constitutes an unfair, deceptive, or abusive act or practice (UDAAP). Options B and C incorrectly suggest borrower consent or legal compensation structure absolves the conduct. Option D misidentifies the violated regulation.

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86. A borrower asks the MLO to 'shop' their application to several lenders to find the best rate. Under FCRA, multiple credit inquiries for a mortgage loan within a short window are typically treated as:

✓ C) A single inquiry for scoring purposes if they occur within a specific rate-shopping window (14-45 days depending on the scoring model)

FICO and VantageScore models recognize rate-shopping behavior and treat multiple mortgage inquiries within a certain window (14 days for older FICO models; 45 days for newer FICO models) as a single inquiry. This protects consumers who shop for the best rate. Option A is wrong — the deduplication rule limits score impact. Option B is fabricated. Option D incorrectly prohibits multiple applications.

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87. When a borrower asks an MLO to explain the difference between the interest rate and the APR, the MLO should explain that the APR is higher than the rate because:

✓ B) The APR reflects the true cost of borrowing by incorporating the interest rate plus certain fees and costs spread over the loan term, expressed as an annual rate

The Annual Percentage Rate (APR) is a broader measure of loan cost under TILA that includes the interest rate PLUS certain fees and costs (origination fees, discount points, PMI, etc.) amortized over the loan term. This makes it higher than the contract interest rate alone. Option A is wrong (principal is not a cost). Option C describes compounding, not APR. Option D describes an ARM's fully indexed rate.

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88. Under the SAFE Act, an individual who ONLY takes loan applications but does not negotiate terms, does not offer or accept applications, and simply passes paperwork between borrowers and lenders, is:

✓ D) Subject to licensing requirements if their activities constitute loan origination activity as defined by the SAFE Act, which includes taking applications and negotiating terms

The SAFE Act defines mortgage loan origination activity broadly to include taking applications AND offering or negotiating terms. Truly clerical/support staff who perform purely administrative functions (no application-taking, no term discussion) may be exempt. But the question describes someone who 'takes loan applications' — which IS origination activity requiring licensure. Options B incorrectly labels this as clerical.

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89. A borrower's loan file contains a verbal verification of employment (VVOE) completed 10 business days before closing. Standard agency guidelines typically require a VVOE within how many business days of consummation?

✓ A) 10 business days

Fannie Mae and Freddie Mac guidelines typically require a verbal (or written) verification of employment within 10 business days before the note date (consummation). Completing the VVOE at 10 business days satisfies this requirement. Options B (30 days) and C (5 days) cite incorrect windows. Option D is overly restrictive.

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90. A borrower is purchasing a home with gift funds for the entire down payment. The gift donor is the borrower's parent. Under FHA guidelines, which documentation is required?

✓ C) A signed gift letter from the donor, evidence the donor has the ability to give the gift, and documentation of the transfer of funds (bank statements or wire confirmation)

FHA gift fund documentation requires: (1) a signed gift letter from the donor specifying the amount, property address, donor's relationship, and confirming it is not a loan; (2) documentation that the donor has the ability to give the gift (donor's bank statement); and (3) evidence of the actual transfer of funds (deposit slip, wire confirmation, or bank statement). Option B is insufficient. Option A skips the transfer documentation. Option D is wrong — FHA permits 100% gift funds.

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91. During the loan origination process, the MLO collects a property appraisal showing the home is in a FEMA-designated Special Flood Hazard Area (SFHA). The lender is required to:

✓ A) Require flood insurance as a condition of the loan and notify the borrower in writing at least 10 business days before closing

Federal law (Flood Disaster Protection Act / National Flood Insurance Act) requires lenders to require flood insurance as a condition of any federally related loan on a building in a SFHA. Written notice must be given to the borrower at least 10 business days before closing. Option B is wrong — it is a mandatory requirement, not optional. Option C restricts the rule to V-zones incorrectly. Option D cites a nonexistent HUD reporting requirement.

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92. A borrower's loan is approved with a condition that requires a satisfactory title search. The title search reveals an outstanding mechanic's lien from a contractor who worked on the property 18 months ago. How should the MLO handle this?

✓ C) Advise the borrower and seller that the lien must be resolved (paid, released, or bonded over) before or at closing, as it constitutes a cloud on title

An unsatisfied mechanic's lien is a cloud on title that can prevent issuance of title insurance and affect the lender's lien priority. The standard resolution is to require the seller to pay the lien at or before closing, obtain a lien release, or post a surety bond. Options A and B create unacceptable title risk. Option D confuses valuation with title resolution.

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93. A rate lock commitment is issued to a borrower for 30 days. The loan does not close within 30 days due to a delay in the borrower returning required documents. Which statement MOST accurately describes the MLO's obligation?

✓ B) The borrower may need to pay a rate lock extension fee or accept the current market rate, depending on lender policy; the original lock expired

A rate lock commitment specifies a lock period. If the lock expires, the borrower typically must pay an extension fee to keep the original rate or accept the current market rate. There is no federal regulation requiring free extensions, and the lender is not obligated to honor an expired lock. Options A, C, and D misstate the lender's obligations.

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94. An MLO submits a loan application on behalf of a borrower. After submission, the MLO learns the borrower intends to rent the property rather than owner-occupy it as stated on the application. The MLO should:

✓ D) Correct the occupancy designation on the application immediately, notify the lender and compliance team, and proceed with an updated file reflecting the accurate occupancy

Occupancy misrepresentation (owner-occupied vs. investment) is one of the most common forms of mortgage fraud. The MLO has a legal and ethical duty to correct material misrepresentations. Doing nothing (Option A) is participation in fraud. Adding rental income without correcting occupancy (Option B) compounds the problem. Withdrawing (Option C) is less efficient than correcting — and may be warranted depending on the circumstances, but correction is the most appropriate first step.

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95. When a borrower pays 'discount points' at closing, what is the primary purpose of those points?

✓ A) To buy down (reduce) the interest rate on the loan, with each point equaling 1% of the loan amount

Discount points are prepaid interest — the borrower pays upfront (1 point = 1% of loan amount) to reduce the interest rate over the loan term. This is a 'rate buydown.' Points are not for third-party services (Option B), not prepaid principal (Option C), and not an origination fee (Option D), although origination fees may ALSO be expressed in points. Understanding the distinction between discount points and origination points is a frequent exam topic.

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96. Under TRID, the Loan Estimate must be provided in good faith, meaning estimated charges must be within applicable tolerances at closing. If a lender discovers at closing that a zero-tolerance fee has increased, the lender MUST:

✓ C) Provide a cured credit to the borrower within 60 calendar days of closing and retain cure documentation

When a lender identifies a tolerance violation at or after closing, the cure mechanism is to provide a refund/credit to the borrower for the excess amount within 60 calendar days of consummation. The lender must keep documentation of the cure in the loan file. Options A, B, and D do not describe the required TRID cure process.

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97. A borrower is purchasing a home and requests the loan officer recommend a homeowner's insurance company. Under RESPA, the loan officer should:

✓ B) Provide general guidance about the type of coverage required but avoid steering the borrower to a specific insurer in exchange for any thing of value

RESPA Section 8 prohibits giving or receiving a thing of value for referrals of settlement services. While the MLO can explain coverage requirements, recommending a specific insurer in exchange for any referral fee, kickback, or thing of value would violate RESPA. The borrower has the right to choose their own insurer. Option A could be a RESPA violation. Option C is overly restrictive. Option D violates RESPA.

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98. A borrower is closing on a loan. The HUD-1 (for RESPA-covered transactions pre-TRID) or the Closing Disclosure showed $3,200 in estimated cash to close. At the table, the borrower is presented with a final figure of $3,750. Which regulatory concern does this raise?

✓ D) TRID tolerance concern — unexplained cost increases at closing may indicate zero-tolerance or 10% bucket violations requiring lender cure

A last-minute increase in cash to close at the closing table is a classic sign of TRID tolerance violations. If fees increased without a valid changed circumstance documented, there may be zero-tolerance or 10% aggregate violations requiring a lender cure. Option A ignores the regulatory obligation. Option B misapplies ECOA. Option C misapplies the SAFE Act.

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99. Under the Equal Credit Opportunity Act, a creditor may NOT request which of the following on a loan application?

✓ A) The applicant's race, color, or national origin (when not required for government monitoring)

ECOA generally prohibits collecting information about race, color, religion, national origin, or sex — EXCEPT for purposes of government monitoring (HMDA) on home loans, where it IS required to be collected. In a non-HMDA context, asking about race/national origin could imply discriminatory intent. Marital status (Option B) may be asked on secured loans in community property states. Age (Option C) may be used in valid scoring systems. Income (Option D) is always permissible.

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100. A mortgage loan officer working for a federally insured depository institution (bank) is required to register under the SAFE Act using the NMLS. Which statement BEST distinguishes the registration requirement from the licensing requirement?

✓ C) Licensed MLOs (non-bank) must pass the SAFE test, complete pre-license education, meet character requirements, and maintain a surety bond; registered MLOs (bank employees) must register in NMLS but are NOT required to pass the SAFE test or complete pre-license education

The SAFE Act creates two tracks: (1) State-licensed MLOs at non-bank entities must complete 20+ hours of pre-license education, pass the SAFE test (75% passing score), meet character/background requirements, and register in NMLS; (2) Registered MLOs at federally regulated depository institutions must register in NMLS and pass a background check but are NOT required to pass the SAFE test or complete pre-license education. Options A and B contradict this. Option D overstates the bank exemption.

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101. A real estate agent offers to send an MLO 10 referrals per month if the MLO agrees to give the agent 'a cut' of the origination fee on each closed loan. The MLO should:

✓ A) Decline the arrangement because it constitutes an illegal kickback under RESPA Section 8, regardless of how it is characterized

RESPA Section 8 prohibits giving anything of value for referral of settlement service business. There is NO dollar de minimis exception for kickbacks (Option B is wrong). Disclosure (Option C) does not cure a RESPA violation. The agent's licensing status (Option D) is irrelevant to the RESPA prohibition. The MLO must decline to protect their license and avoid criminal liability.

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102. An MLO learns that a competitor is offering a loan product with terms that appear to violate federal consumer protection laws. The MLO's BEST ethical course of action is:

✓ C) Report the potentially illegal practices to the appropriate regulatory agency (CFPB, state regulator, or NMLS) and continue operating within legal boundaries

Ethical conduct includes reporting known or suspected violations of law to the appropriate regulatory authorities. Matching illegal terms (Option A) makes the MLO equally liable. Telling borrowers (Option B) is not the appropriate channel. Recommending an illegal product (Option D) could make the MLO complicit. Reporting protects consumers and the integrity of the market.

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103. An MLO has a personal financial interest in a title company that is not disclosed to borrowers. The MLO routinely refers borrowers to that title company. This situation:

✓ B) Violates RESPA's AfBA disclosure requirements and may constitute an undisclosed conflict of interest

An affiliated business arrangement requires that the relationship be disclosed to the consumer at or before the time of referral, using the AfBA disclosure form. Failing to disclose an ownership interest while making referrals is both a RESPA violation and an ethical breach. Competitive pricing (Option C) does not cure the disclosure failure. This violates federal law (RESPA) — Option D understates the violations.

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104. A borrower tells the MLO in confidence that they plan to take out a personal loan for the down payment funds but wants the MLO to list the funds as 'savings.' The MLO should:

✓ D) Explain that undisclosed borrowed funds used for a down payment constitutes mortgage fraud, decline to proceed as instructed, and advise the borrower that the personal loan must be disclosed and its payment included in the DTI

Concealing the source of down payment funds (borrowed, not saved) is mortgage fraud. The MLO cannot knowingly participate. The personal loan would also need to be included in the DTI calculation, which may affect qualification. Option A is complicity in fraud. Option B is wrong — the timing does not matter if the intent is to conceal. Option C deflects rather than corrects the fraud.

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105. Which of the following BEST describes a predatory lending practice?

✓ A) A lender repeatedly refinancing an elderly borrower's mortgage with minimal benefit, each time charging new closing costs and reducing the borrower's equity

Predatory lending involves exploitative practices that harm borrowers for the benefit of the lender. Equity stripping through repeated refinancings (loan flipping) is a classic predatory practice — prohibited by HOEPA. Below-market rates (Option B) benefit borrowers. PMI requirements (Option C) are legitimate underwriting requirements. Offering product choices (Option D) is appropriate.

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106. A borrower who is 70 years old and has significant home equity asks an MLO about options to access that equity. The MLO is not familiar with reverse mortgages. The MOST ethical action is:

✓ C) Explain that a reverse mortgage may be an option the borrower should explore with a HUD-approved counselor, acknowledge the MLO's limited expertise, and refer the borrower to a specialist if needed

Acting within one's competence and making appropriate referrals is a core ethical obligation for MLOs. Recommending a product without adequate knowledge (Option D) is dangerous. Steering to a suboptimal product (Option A) is not in the borrower's best interest. Dismissing reverse mortgages without information (Option B) is unhelpful. Option C acknowledges limits, informs the borrower, and facilitates appropriate help.

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107. An MLO receives a gift basket worth $150 from a title company that the MLO frequently refers clients to. Under RESPA and ethical guidelines, the MLO should:

✓ B) Return or decline the gift because accepting it creates a RESPA-prohibited thing-of-value relationship tied to referrals

RESPA Section 8 broadly prohibits 'any thing of value' given in connection with referrals of settlement service business. A gift basket of any value from a vendor receiving referrals falls under this prohibition. There is no dollar threshold that makes it permissible. Disclosure (Option C) does not cure a RESPA violation. Option D's $200 threshold is fabricated. The MLO must return or decline the gift.

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108. A loan officer discovers that their manager instructed an underwriter to overlook a borrower's falsified income documents to meet a monthly production quota. The loan officer should FIRST:

✓ D) Document the situation and report it through the company's internal compliance/ethics channel, and if ignored, to external regulators

MLOs have an affirmative duty to report suspected fraud and regulatory violations. Using internal channels first is appropriate — then external regulators (CFPB, state regulator, or law enforcement) if the internal channel fails. Ignoring fraud (Option A) creates personal liability. Options B and C do not address the underlying fraud.

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109. An MLO is working with an elderly borrower who seems confused about the loan terms. The borrower's adult child, who is not on the loan, pressures the MLO to quickly close the loan. The MLO should:

✓ A) Ensure the borrower independently understands and consents to all loan terms before proceeding, even if it delays closing

Elder financial exploitation is a serious concern. The MLO must ensure the borrower — not a third party — freely and knowingly consents to the loan terms. Rushing a confused borrower to close at the urging of a third party raises potential exploitation concerns. Option B prioritizes the wrong party. Option C would require specific legal documentation and still doesn't ensure the borrower's independent understanding. Option D is too late.

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110. An MLO's license expires and is not renewed, but the MLO continues to take loan applications for 30 days while waiting for renewal approval. This conduct:

✓ C) Constitutes unlicensed mortgage loan origination activity, which is illegal and may result in criminal penalties, loss of licensure, and civil liability

Operating as an MLO without a current, valid license is illegal under the SAFE Act and state law. There is no disclosure exception (Option A), volume exception (Option B), or 'borrowing' a colleague's license (Option D). License lapses must be addressed by immediately ceasing origination activity until the license is reinstated. This is a fundamental SAFE Act principle.

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111. A borrower asks the MLO to recommend the 'best' loan product for their situation. The MLO should base the recommendation on:

✓ A) The borrower's specific financial situation, goals, risk tolerance, and loan qualification, presenting options that genuinely serve the borrower's best interest

Recommending loan products must be driven by the borrower's needs and best interest, not the MLO's commission (Option B — anti-steering violation), processing convenience (Option C), or a single metric like rate without considering APR, fees, or loan structure (Option D). This is a core ethical and regulatory obligation.

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112. An MLO is aware that a real estate investor client has submitted multiple applications simultaneously to different lenders for the same property, in violation of each lender's single-application representation. The MLO should:

✓ C) Advise the client that submitting materially misleading simultaneous applications to multiple lenders may constitute loan application fraud, and take appropriate action per the MLO's duty of care and company policy

Submitting materially false applications — including misrepresentations about whether other applications are pending — can constitute mortgage fraud. The MLO has a duty not to participate in or facilitate fraud. Advising the client of the issue and following compliance protocols is appropriate. Option A normalizes fraud. Option B is willful blindness. Option D is premature without further inquiry.

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113. Under the federal SAFE Act, which of the following individuals is required to obtain a state mortgage loan originator license?

✓ A) An employee of a mortgage company (non-bank) who takes residential mortgage loan applications and negotiates loan terms

The SAFE Act defines 'mortgage loan originator' as a person who takes residential mortgage loan applications OR offers or negotiates terms for compensation. An employee of a non-bank entity meeting this definition must be state-licensed. Bank employees meeting the definition must register (not be state-licensed). Processors who truly do not negotiate, attorneys giving legal advice, and appraisers are not MLOs.

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114. The SAFE Act requires state-licensed MLO candidates to complete how many hours of NMLS-approved pre-licensing education before taking the SAFE MLO test?

✓ C) 20 hours

The SAFE Act mandates a minimum of 20 hours of pre-licensing education for state-licensed MLO candidates, covering: 3 hours of federal law, 3 hours of ethics (including fraud, consumer protection, and fair lending), 2 hours of non-traditional mortgage products, and 12+ hours of elective content. Options A, B, and D cite incorrect minimums.

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115. An MLO applying for a state license has a felony conviction for financial fraud from 8 years ago. Under the SAFE Act, which statement is MOST accurate?

✓ B) A felony involving financial fraud, dishonesty, breach of trust, or money laundering results in a permanent bar from state licensure under the SAFE Act

The SAFE Act imposes a PERMANENT bar on licensure for any individual convicted of a felony involving: fraud, dishonesty, breach of trust, or money laundering. There is no time limit — even a 20-year-old conviction for financial fraud permanently bars licensure. Other felony convictions (not involving those specific elements) are disqualifying for 7 years. Options A (10 years), C (5 years), and D (all felonies) misstate the rule.

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116. What is the minimum passing score on the SAFE MLO National Test?

✓ D) 75%

The NMLS SAFE MLO National Test requires a minimum passing score of 75% (75 out of 100 scored questions on the national component). Candidates must also pass any applicable state component. Options A (80%), B (70%), and C (65%) are all incorrect. This is a straightforward fact question that candidates should memorize.

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117. An MLO who fails the SAFE MLO National Test may retake it subject to which waiting period rule?

✓ A) 30-day waiting period after each of the first three failures; 6-month waiting period after the third failure and each subsequent failure

SAFE Act retake rules: Candidates must wait 30 days before retaking after a failure. After failing 3 times, they must wait 6 months before each subsequent attempt. This cooling-off period encourages additional study. Options B, C, and D all cite incorrect rules.

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118. The Nationwide Multistate Licensing System (NMLS) Unique Identifier assigned to each MLO must be:

✓ C) Disclosed on all loan applications, solicitations, and advertisements associated with the MLO's mortgage loan origination activities

The SAFE Act and state laws require MLOs to include their NMLS Unique Identifier on all loan applications they take, all solicitations of business (including flyers, emails, and advertisements), and business cards. This allows consumers to look up the MLO's license history on the NMLS Consumer Access website. Options A, B, and D all understate the disclosure requirement.

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119. Under the SAFE Act, an MLO licensed in State A who wants to temporarily conduct mortgage loan origination activities in State B (where the MLO is not licensed) may do so under which provision?

✓ A) The temporary authority to operate provision, which allows MLOs with an active license to conduct origination activities in a new state for up to 120 days while a license application is pending

The SAFE Act's 2018 amendment created a 'temporary authority to operate' provision. An MLO who is licensed in one state and submits an application for a license in a new state (or a registered bank employee applying for a state license) may continue to originate loans in the new state while the application is pending, for up to 120 days. There is no automatic reciprocity (Option C) or de minimis exception (Option D).

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120. An MLO is required to complete continuing education annually to maintain their state license. The minimum annual CE requirement under the SAFE Act is:

✓ C) 8 hours, including 3 hours of federal law and regulations, 2 hours of ethics including fraud and consumer protection, 2 hours of non-traditional mortgage products, and 1 hour of elective content

SAFE Act annual continuing education requires exactly 8 hours: 3 hours of federal law and regulations, 2 hours of ethics (including fraud, consumer protection, and fair lending), 2 hours of non-traditional mortgage products, and at least 1 hour of state-specific elective content (or as required by state). The CE must be NMLS-approved and cannot be repeated in the same content for consecutive years. Options A, B, and D cite incorrect breakdowns.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	**EXCELLENT ✓**	Review any missed; you're on track to pass.
90–107 (75–89%)	**PASS ✓**	Close! Shore up weak topics in study notes.
72–89 (60–74%)	**BORDERLINE**	Re-read weak sections; retake this exam.
0–71 (below 60%)	**NEEDS WORK**	Study notes first, then retry in 24 hrs.